Trading Away the Machine: The Political Consequences of Trade Liberalization in Developing Countries

Ivan San Miguel*

November 3, 2026

Latest version available here.

Abstract

Globalization has shifted low-skill employment from developed to developing countries. While extensive research documents an anti-incumbent backlash in regions of developed democracies that lost jobs, we know little about how this shift affected politics in the developing world. Conventional wisdom predicts that voters reward or punish incumbents according to how trade affects their economic conditions. However, in the developing world, economic vulnerability allows incumbents to mobilize voters through clientelism. I argue that economic gains from trade liberalization, such as expanded low-skill employment, weaken clientelistic incumbents by reducing voters' vulnerability and making clientelism less effective. I examine the effects of the North American Free Trade Agreement (NAFTA) in Mexico under the PRI, an incumbent party that relied heavily on clientelism. I leverage data on pre-NAFTA industrial employment and agro-climatic crop suitability to measure regional exposure to post-NAFTA trade shifts in manufacturing and agriculture. Regions more exposed to post-NAFTA economic gains saw higher employment, reduced support for clientelistic pro-regime parties, and gains for the non-clientelistic opposition. In rural regions, these shifts are concentrated in municipalities where pre-NAFTA clientelism was widespread.

*PhD Candidate, New York University. I thank Shanker Satyanath, Pablo Querubín, Zuhad Hai, Peter Rosendorff, Arturas Rozenas, Allison Carnegie, Daniel Kselman, Jenny Guardado, Yining Sun, Minh Nam Pham, Eric San Miguel and seminar participants at NYU (Comparative Politics Workshop), GIPES, Carlos III University (Juan Linz Conference), and NEWEPS for valuable comments and suggestions.

1 Introduction

The economic benefits of globalization are not equally distributed. When a country integrates into global markets, economic gains concentrate in regions where internationally competitive industries or endowments are located, while import-competing regions face decline. The conventional view is that citizens' response to trade liberalization is shaped by economic voting: voters will reward or punish incumbents based on how globalization affects local economic conditions. Indeed, an extensive literature, mostly based on the experiences of developed democracies, finds that voters have shifted away from incumbents in regions where globalization has caused job losses and economic decline (Autor et al., 2020; Colantone and Stanig, 2018b; Margalit, 2011). However, this evidence only captures one side of globalization: in the developing world, globalization has created new employment opportunities and raised wages as labor-intensive industries relocate from wealthy countries. Thus, we know little about how such economic transformations have affected the politics of developing countries. In this paper, I show that the predictions of the conventional wisdom on trade politics are not generalizable because they fail to consider realistic developing-country conditions, such as widespread clientelism[1]. Specifically, I show that economic gains caused by trade liberalization can weaken incumbents by undermining their ability to mobilize voters through state-sponsored clientelism, which is a major determinant of incumbent support in the developing world.

I argue that trade liberalization can undermine the effectiveness of clientelism by reshaping the economic conditions under which clientelistic exchanges take place. Clientelistic machines generally target low-income voters whose economic insecurity makes their political support cheaper to secure (Stokes, 2005; Stokes et al., 2013; Hicken, 2011). In developing countries, where low-skill labor is relatively abundant, trade liberalization can create new employment and economic opportunities for the poor as labor-intensive industries relocate. As incomes rise, the marginal value of the modest handouts provided by clientelistic machines decreases (Frey, 2019, 2022; Stokes, 2005). Moreover, new employment opportunities give low-income voters outside options that reduce their dependence on clientelistic handouts, which undermines brokers' ability to punish defection by withdrawing benefits (Mares, 2015). Together, these channels weaken the electoral returns to clientelistic mobilization and reduce support for parties that rely heavily on it. Since clientelism is predominantly an incumbent's strategy—incumbents can fund clientelistic mobilization with state resources that are generally unavailable to opposition parties (Larreguy, 2013; Fergusson et al., 2022; Graham et al., 2026)—this process can paradoxically cause incumbents to lose support in the regions that experience large trade-induced economic gains, contrary to the

[1]Clientelism is the distribution of targeted benefits, such as goods and services, conditional on the recipient's vote (Stokes et al., 2013).

predictions of canonical models of economic voting.

I test this argument by examining the political consequences of the North American Free Trade Agreement (NAFTA henceforth) in Mexico. For most of the 20th century, Mexico was ruled by the PRI—a catch-all party that leveraged its decades in government to build a broad clientelistic machine. While the government faced competition from opposition parties from the right (PAN) and the left (PRD), the PRI's voter mobilization capacity ensured that the opposition remained politically marginalized. In the early 1990s, declining economic conditions (Cameron and Tomlin, 2000; Lustig, 1998) and pressure from foreign actors (Cameron and Tomlin, 2000; Hufbauer and Schott, 1993) led President Carlos Salinas to negotiate a free trade agreement with the governments of Canada and the United States. NAFTA's entry into force—which involved the phased elimination of all tariffs and non-tariff trade barriers among Mexico, Canada, and the US—triggered an exports boom in Mexican manufacturing and agriculture (Romalis, 2007).

Two empirical analyses of the agricultural and manufacturing sectors show that NAFTA-induced economic gains eroded the effectiveness of the regime's clientelistic networks and caused the regime to lose significant support in the regions that experienced the largest economic gains. I first focus on the Mexican manufacturing sector, which saw booming exports following NAFTA's entry into force as labor-intensive industries relocated to Mexico (Romalis, 2007; Atkin, 2016). I leverage municipal-level data on pre-NAFTA industrial employment and the post-NAFTA shift in Mexican exports to the US to build a shift-share variable identifying which Mexican regions were more exposed to the post-NAFTA exports boom. This variable is strongly correlated with the post-NAFTA increase in manufacturing employment but uncorrelated with pre-NAFTA electoral trends. I then use a difference-in-differences design to show that pro-regime parties lost significantly more support in regions more exposed to the post-NAFTA exports boom: a one standard deviation increase in shock intensity is associated with an approximately three percentage point decrease in the total vote share received by pro-regime parties.

The agricultural analysis evaluates the effect of NAFTA in rural municipalities, where the PRI's clientelistic machine was strongest (Gibson, 1997; Aparicio, 2002; Cornelius, 2004; Albertus et al., 2016). Agricultural liberalization had highly unequal consequences across rural Mexico: it benefited regions suitable for labor-intensive horticulture (i.e., hand-picked fruits and vegetables), but exposed regions suitable for staple crops (whose production can be easily mechanized) to increased import competition from American agricultural exports. To measure regional exposure to liberalization, I combine each municipality's agro-climatic suitability for a basket of 44 crops with the post-NAFTA shifts in agricultural imports and exports. Difference-in-differences models show that, in municipalities whose land is better suited to growing export crops than import-competing crops, agricultural employment grew strongly after NAFTA and support for the PRI fell significantly. Moreover, since export and import-competing crops were grown in different regions, I can

separately estimate the effects of the positive export shock and the negative import shock. I show that, in rural regions that experienced the negative import shock, support for pro-regime parties *increased* following liberalization, which suggests that negative economic shocks can deepen voters' dependence on clientelistic networks.

While several causal mechanisms could explain the association between export shock intensity and decreased support for the incumbent, a set of additional findings is consistent with the paper's argument that the erosion of the regime's clientelistic networks played a key role. First, if clientelism drives the results, the association between gains from liberalization and decreased support for the incumbent should only be present in regions where clientelism was widespread. In rural Mexico, clientelism was concentrated in *ejidos*, communal lands where peasants depended heavily on state funding (Albertus et al., 2016). Consistent with the paper's argument, the association between gains from liberalization and pro-regime losses is significantly stronger in municipalities where a large share of agricultural land was held by *ejidos*, and close to zero in municipalities where this share is low. Second, among opposition parties, gains are concentrated in the left-wing PRD, which offered pro-poor policies but had little clientelistic mobilization capacity. Since clientelistic machines mostly mobilize low-income voters (Stokes et al., 2013; Diaz-Cayeros et al., 2016), the weakening of clientelism should benefit parties whose policy platforms appeal to these voters. By contrast, the shock intensity is not significantly associated with increased support for the right-wing, pro-market opposition. Finally, I empirically show that alternative mechanisms, such as internal migration or increased inequality, cannot explain the paper's findings.

This paper is related to an extensive literature that studies the political consequences of globalization. Increased economic integration benefits the owners of locally abundant factors of production and impoverishes the owners of locally scarce factors (Rogowski, 1989; Stolper and Samuelson, 1941). Since factors of production are not perfectly mobile and tend to be geographically concentrated, globalization produces geographically concentrated winners and losers (Hiscox, 2002; Autor et al., 2013; Broz et al., 2021). Combined with the logic of economic voting, this geographic pattern yields a natural theoretical conjecture: voters in regions harmed by increased import competition should punish incumbents, whereas voters in benefiting regions should reward them. Indeed, ample empirical evidence from developed democracies is consistent with the first part of this conjecture. In Western Europe and the United States, incumbents have lost significant support in import-competing regions (Autor et al., 2020; Margalit, 2011; Choi et al., 2024) as voters have shifted towards protectionist candidates (Colantone and Stanig, 2018b; Autor et al., 2020; Che et al., 2022).

How voters respond to a positive export shock, however, remains comparatively understudied, and the scarce evidence available also comes from developed democracies, where incumbents have gained support in exporting regions (Jensen et al., 2017). This gap is especially striking given that

positive trade shocks of this kind should be particularly common in developing countries: because labor is the locally abundant factor, trade liberalization should generate employment gains as labor-intensive production relocates from developed countries (Hiscox, 2002). This paper contributes to filling this gap by studying the consequences of an export shock in a developing country, and shows that voters who benefited from NAFTA shifted away from the regime. This finding underscores that the standard economic voting framework overlooks the impact of trade on clientelistic networks, which are highly relevant for electoral outcomes in the developing world.

More recent work on International Political Economy departs from the economic voting framework and shows that trade can reshape political behavior through downstream channels that economic voting alone fails to capture. Positive export shocks can change the composition of a region's electorate by incentivizing the internal migration of workers with different policy preferences (Scheve and Serlin, 2025). Opportunities to adapt to economic decline can paradoxically increase anti-globalization mobilization by increasing the resources and organizational capacity of protectionist groups (Hai, 2024). In settings where the state lacks the capacity to provide social insurance, a negative trade shock can make voters dependent on non-state insurance providers, such as religious organizations, which empowers them to act as political brokers (Rettl, 2025). This paper builds on this agenda by highlighting an additional channel: I show that a positive export shock can reduce voters' dependence on state-sponsored electoral machines.

This paper also contributes to a large research agenda on clientelism. Clientelistic mobilization is pervasive in the developing world (Hicken, 2011). Extensive evidence documents that clientelistic machines target economically vulnerable voters (Mares, 2015; Stokes, 2005; Stokes et al., 2013). Clientelistic networks are more effective at mobilizing low-income voters because these voters have a higher marginal utility of benefits, which allows brokers to buy their votes with low-cost handouts (Stokes, 2005). Moreover, low-income voters generally have limited economic opportunities, which increases brokers' ability to punish voter defection by withdrawing benefits (Mares, 2015).

Recent work has shown that policies that permanently increase voters' incomes can reduce their dependence on clientelistic handouts and undermine the effectiveness of electoral machines (Frey, 2022; Larreguy et al., 2018). This paper shows that free trade can play a similar role in exporting regions by improving wages and creating new non-state employment opportunities. In this sense, the paper's argument is similar to Bueno de Mesquita et al. (2003)'s characterization of free trade as a public good that benefits citizens regardless of whether they support incumbents. The paper's findings suggest that free trade can also undermine the effectiveness of private goods in securing support for incumbents.

Finally, I contribute to the research on the consequences of NAFTA. In the US, NAFTA was associated with job losses and economic decline in manufacturing regions (Hakobyan and McLaren,

2016; Choi et al., 2024). Recent work shows that NAFTA-induced economic losses are associated with decreased support for the (then incumbent) Democratic Party, and increased support for Ross Perot's protectionist candidacy (Choi et al., 2024; Flaherty, 2023). On the Mexican side, the empirical evidence on the economic and social consequences of NAFTA is mixed. The treaty triggered export manufacturing employment gains (Atkin, 2016). However, since the economic benefits of NAFTA were geographically concentrated, the treaty increased inter-regional inequality (Hanson, 2007). Even in exporting regions, NAFTA caused significant long-term social upheaval: expanded blue-collar employment options caused an increase in high school dropout rates (Atkin, 2016); decreased transportation costs between Mexico and the US increased the profitability of drug trafficking and intensified drug-related violence (Hidalgo et al., 2026).

The political consequences of NAFTA in Mexico, however, have received comparatively less attention. Through a different mechanism, earlier work argues that globalization undermined PRI control over municipal governments because a larger local tax base hindered the central government's ability to punish opposition mayors by withdrawing federal funds (Diaz-Cayeros et al., 2003). More recent work shows that by 2006, when much of the PRI's machine had been dismantled, López Obrador, the protectionist candidate, underperformed in cities that had benefited from NAFTA (Bustos and Morales-Arilla, 2024). This paper is, to the best of my knowledge, the first to highlight NAFTA's impact on clientelistic mobilization.

The rest of this paper is structured as follows. The next section discusses the paper's theoretical argument on the effect of positive export shocks on clientelistic mobilization. Section 3 discusses the historical context. Section 4 presents the manufacturing analysis, which describes the paper's data and empirical strategy, evaluates the effects of the export shock on economic and political outcomes, and presents numerous robustness checks. Section 5 presents the agricultural analysis, which evaluates the effects of NAFTA in rural municipalities, presents a set of robustness checks, tests the mechanism through heterogeneity in the strength of the regime's rural clientelistic machine, and separately estimates the effects of the export and import shocks. Finally, Section 6 discusses the paper's findings and provides final remarks.

2 Theory: Clientelism and Positive Export Shocks

Clientelism—the contingent exchange of goods and services for votes—is pervasive in the developing world (Kitschelt and Wilkinson, 2007; Hicken, 2011). Within a given country, however, parties differ in their reliance on clientelistic mobilization: some parties mobilize voters primarily through clientelism, while others compete programmatically—i.e., by offering a policy platform if elected to office (Kitschelt and Wilkinson, 2007). Incumbency plays a central role in this distinction. Previous work has shown that incumbent parties are more likely to rely on clientelistic

mobilization than their opponents (Larreguy, 2013; Fergusson et al., 2022; Graham et al., 2026). While incumbents can leverage public resources to fund clientelism, such resources are generally unavailable to the opposition, which creates a major disparity in the pool of resources available for clientelistic mobilization.

Extensive work on clientelism has shown that clientelistic machines target poor voters (Stokes et al., 2013; Diaz-Cayeros et al., 2016). There are two reasons why the clientelistic mobilization of low-income voters is particularly efficient[2].

First, the cost of vote buying is increasing with income, so it is cheaper for clientelistic machines to buy the votes of low-income individuals. A voter will voluntarily participate in a patron-client exchange if the outcome of the agreement, voting for the machine's candidate and receiving a handout or service, yields a higher utility than forsaking the payoff and voting for her preferred candidate. Thus, from the machine's perspective, the cost of buying a citizen's vote is equal to the cost of the handout that yields the voter the same utility as her reservation utility of voting for her preferred candidate. Because the marginal utility of income diminishes as total income increases, a fixed payoff has a larger effect on the well-being of low-income individuals than on that of well-off individuals (Stokes, 2005; Dixit and Londregan, 1996). Thus, holding the value of a handout constant, the clientelistic agreement will yield higher utility to low-income voters, who value the goods and services more, than to relatively wealthy voters.

Second, low-income voters are highly exposed to negative income shocks: the poor generally lack access to stable employment, credit, savings, or formal insurance markets. In this sense, the goods and services provided by clientelistic brokers often serve as a source of informal insurance against negative economic shocks, which makes low-income voters highly dependent on these handouts (Bobonis et al., 2022). Thus, low-income voters will be reluctant to defect from clientelistic arrangements, since defection would leave them fully exposed to negative shocks. In turn, poor voters' economic vulnerability and their dependence on clientelistic exchanges allow brokers to credibly punish noncompliance by withdrawing goods, services, or jobs from voters who do not support the machine's candidate.

In this sense, shocks that improve voters' economic well-being can reduce the effectiveness of clientelistic machines by increasing the cost of vote buying and decreasing the machine's ability to punish voters. Not all positive economic shocks will have the same effect on clientelism. In order to break clientelistic linkages, a shock must be: (1) pro-poor—i.e., raise the material well-being of low-income, machine-dependent voters; (2) non-excludable—i.e., machine-affiliated brokers cannot withdraw the benefits; and (3) durable—i.e., the increase in voters' incomes must be long-

[2]Throughout this paper, I assume that electoral machines have some capacity to monitor voter behavior. Extensive evidence documents that clientelistic brokers can employ a repertoire of strategies to monitor voter behavior even in settings with secret ballots (e.g., by leveraging social norms of reciprocity) (Stokes, 2005; Finan and Schechter, 2012).

lasting rather than a temporary shock. Indeed, recent work has shown that durable, non-excludable, pro-poor policies—such as reforms granting secure property rights (Larreguy et al., 2018), the implementation of programmatic social programs (Frey, 2019; De La O, 2013), or the distribution of durable assets (Frey, 2022)—have led to decreased clientelistic mobilization. More generally, economic development is associated with a decrease in the prevalence of vote buying and other forms of clientelistic mobilization (Stokes et al., 2013; Hicken, 2011).

2.1 When Free Trade Breaks Clientelism

I argue that, in developing countries, trade liberalization can induce a positive economic shock that is pro-poor, non-excludable, and durable, and therefore undermines clientelistic linkages. First, in the developing world, trade-induced economic growth is likely to be pro-poor. Since labor is the relatively abundant factor of production in most developing countries, their comparative advantage lies in labor-intensive activities such as manufacturing and labor-intensive agriculture (e.g., horticulture). Trade liberalization expands these activities—e.g., as labor-intensive manufacturing relocates from developed countries—which increases local demand for unskilled labor, creating new employment opportunities for the poor and raising low-skill wages (Stolper and Samuelson, 1941; Wood, 1994).

Second, trade-induced employment and wage gains are non-excludable because machine-affiliated brokers do not control access to them. In liberalizing developing countries, employment gains are concentrated in the private sector (McCaig and Pavcnik, 2018), which incumbents do not directly control. While private-sector companies can collude with incumbents and act as clientelistic brokers—for instance, by dismissing politically disloyal workers in exchange for policy concessions (Frye et al., 2014)—trade liberalization makes these arrangements more costly for three reasons. The first is that employment discrimination is economically inefficient: employers who discriminate incur higher labor costs than their non-discriminating competitors (Becker, 1957), and competition makes discrimination costlier (Black and Brainerd, 2004). Since export-oriented employers face global competitors, employment discrimination should be particularly costly for them. The second is that new employment opportunities make collusion harder: since workers dismissed by one employer can find jobs with another, incumbents must collude with a larger number of employers for discrimination to be enforceable (Olson, 1965; Mares et al., 2018). The third is that tighter labor markets for low-skill workers increase their bargaining power *vis-à-vis* employers and make layoffs more costly (Ardanaz and Mares, 2014). Moreover, increased demand for low-skill workers in a given sector should have the general equilibrium effect of raising wages for all low-skill workers in the region, which makes access to these gains harder to restrict.

Third, the economic gains of trade liberalization are durable and hard to reverse. Economic integration creates interest groups, such as export-oriented companies, with incentives to lobby for continued liberalization (Rogowski, 1989). Free trade also creates linkages between domestic and foreign companies that substantially increase the cost of reversing liberalization (Milner, 1988). Additionally, free trade agreements (FTAs) often include institutionally enshrined commitments that are hard to reverse (Maggi and Rodríguez-Clare, 1998; Mansfield et al., 2008), and withdrawal from FTAs can trigger costly international retaliation (Bagwell and Staiger, 1999).

By raising low-skill wages (pro-poor), making it hard for brokers to condition access to these gains (non-excludable), and locking them in against reversal (durable), trade liberalization simultaneously raises the price of vote buying and undermines the machine's capacity to punish defection. Conversely, free trade will not weaken clientelism unless it meets all three conditions: in countries where capital is relatively abundant, liberalization will not necessarily result in better employment opportunities or higher wages for the poor; export booms in state-controlled sectors, such as oil, allow incumbents to gatekeep who accesses economic gains; and transitory commodity-price booms are not durable and may thus fail to break clientelistic linkages if voters are uncertain about their future economic prospects. By the same logic, negative trade shocks can deepen clientelistic dependence (Rettl, 2025). In Section 3, I argue that the post-NAFTA exports boom in Mexican manufacturing and agriculture possessed all three features. The next subsection presents empirically testable predictions about which parties should gain and lose from a clientelism-breaking shock.

2.2 Hypotheses: Who Wins and Who Loses from the Breakdown of Clientelism

A positive economic shock that undermines the effectiveness of clientelism should be detrimental to parties that rely heavily on clientelistic mobilization. In turn, the magnitude of these losses should also depend on the pre-shock prevalence of clientelism in each region. Since the shock erodes support for clientelistic parties by releasing clientelism-dependent voters, the electoral losses should be larger in regions where clientelism binds a larger share of the electorate, and the association should be absent in regions with little or no clientelism.

Hypothesis 1: *A positive, pro-poor economic shock should be associated with decreased electoral support for clientelistic parties.*

Hypothesis 2: *The association between economic gains and electoral losses for clientelistic parties should be stronger in regions with a higher pre-shock prevalence of clientelism, and absent in regions with little or no clientelism.*

The breakdown of clientelistic mobilization, in turn, should benefit programmatic parties. In settings where many voters are tied to electoral machines, policy-based appeals are electorally inefficient since machine-tied voters are bound to support their patrons regardless of the voters' true policy preferences. A shock that breaks those linkages gives voters the capacity to vote according to their policy preferences, which expands the constituency over which programmatic appeals can compete. Thus, the gains from this shift should be concentrated in programmatic parties, particularly those with little clientelistic mobilization capacity.

Hypothesis 3: *A positive, clientelism-eroding economic shock should be associated with electoral gains for programmatic parties, particularly if they have little clientelistic mobilization capacity.*

Among programmatic parties, the weakening of clientelistic mobilization should be particularly beneficial to parties that compete programmatically for the support of low-income voters but have little clientelistic mobilization capacity. As previously noted, clientelistic machines mostly mobilize low-income voters, so the bulk of voters released from clientelistic dependence are themselves low-income. These newly released voters should favor parties with a credible commitment towards enacting pro-poor, redistributive policies over parties whose programmatic appeals target middle-class or high-income voters, whose choices are generally not shaped by clientelism[3]. Thus, the electoral gains from clientelistic erosion should be concentrated in pro-poor programmatic parties.

Hypothesis 4: *Among programmatic parties, electoral gains should be concentrated in parties credibly committed to enacting pro-poor policies.*

These four hypotheses motivate the paper's empirical analysis. The next section introduces the Mexican case and explains why the Mexican government's reliance on clientelistic mobilization, combined with the export boom triggered by NAFTA, makes it an especially well-suited setting in which to test these predictions.

3 Historical Context

The Institutional Revolutionary Party (PRI henceforth) ruled Mexico from 1929 to 2000. The party emerged in the aftermath of the Mexican Revolution as a broad coalition of revolutionary factions. Through its multi-decade rule, the PRI built an electoral machine that allowed it to hold near-total control over Mexican politics. The party's control over state resources allowed it to deploy multiple strategies to establish clientelistic linkages with diverse groups of voters. In urban areas, the party rewarded loyalists with patronage jobs in the bureaucracy and state-owned

[3]This is similar to Fujiwara (2015)'s finding that the *de facto* enfranchisement of illiterate voters in Brazil led to increased support for left-wing parties and more redistributive policy outcomes.

enterprises (Magaloni, 2006; Greene, 2007). Among the urban poor, local party brokers controlled access to social programs and public services and distributed material handouts around election time (Magaloni, 2006; Diaz-Cayeros et al., 2016). Beyond these structures, the PRI also funded and controlled minor left-wing *satellite* parties that mobilized unaffiliated urban poor voters, such as residents of squatter settlements, through material handouts.

In rural regions, the PRI leveraged land reform to build clientelistic networks. The PRI implemented a massive land reform program that redistributed over half of the country's territory through the *ejido* system, which granted land to agricultural communities under precarious use rights. *Ejido* lands could not be sold, rented, or used as collateral to acquire loans, which made *ejido* farmers highly dependent on the state for access to credit and technical assistance (Albertus et al., 2016; Sanderson, 1984; de Janvry et al., 2014). Moreover, within each *ejido*, the distribution of social programs was managed by a commissariat closely aligned with the PRI, which in practice served as the community's local broker (Larreguy, 2013). *Ejido* farmers' direct dependence on state resources, and the brokers' ability to condition access to them on political loyalty, made the *ejido* the cornerstone of the regime's clientelistic machine in rural Mexico (Albertus et al., 2016; Larreguy, 2013; Sanderson, 1984; Silva Herzog, 1959). For this reason, rural regions were the stronghold of the regime's clientelistic machine (Gibson, 1997; Aparicio, 2002; Cornelius, 2004).

The PRI was characterized by a high degree of ideological heterogeneity for most of its history. In general, the party membership was split between two major ideological factions: a technocratic, economically liberal group—drawn from an urban, university-educated professional elite—and a nationalist, protectionist faction associated with state-owned enterprises, peasant groups, and import-substitution industrialization (Centeno, 1994; Babb, 2001). During the first decades of PRI rule, both factions shared power and the presidency alternated between them. However, following years of chronic overspending, a severe fiscal crisis in 1982 discredited the party's statist faction and shifted control to the technocratic wing. It was this faction that, under President Carlos Salinas, implemented a program of economic liberalization. One of the centerpieces of Salinas' program of economic reform was the negotiation of a free trade agreement with the United States and Canada.

3.1 The North American Free Trade Agreement

The resulting agreement, which was signed in December 1992 and entered into force in January 1994, committed Mexico, the United States, and Canada to the elimination of tariffs and non-tariff barriers across manufacturing, agriculture, and services. While the treaty phased out some tariffs over a transition period, trade was rapidly liberalized, and the most significant changes took effect on the day NAFTA entered into force. Products that accounted for 54 percent of the pre-NAFTA value of Mexican exports to the US became duty-free in January 1994, and another 14 percent

already entered the US duty-free before the agreement (Abbott, 1995). Tariffs on the remaining products received their first cut on the same day and continued to fall every year thereafter[4].

Moreover, NAFTA facilitated Mexican exports through three channels beyond tariff cuts. First, the treaty eliminated most import licenses and quantitative restrictions upon its entry into force and created dispute resolution mechanisms that allowed exporters to contest antidumping duties and other non-tariff barriers (Abbott, 1995; Hufbauer and Schott, 1993). Second, NAFTA removed many of Mexico's restrictions on foreign investment, which facilitated the entry of the foreign-owned, export-oriented firms that drove the post-NAFTA exports boom (Hufbauer and Schott, 1993; Lustig, 1998). Third, the treaty substantially reduced exporters' uncertainty about their future access to the US market. Before NAFTA, much of Mexico's preferential access to the US market depended on unilateral programs that the US government could modify or withdraw at its discretion. NAFTA made these tariff cuts permanent and established a binding timeline for the elimination of all remaining tariffs. Indeed, recent work has shown that, after NAFTA, Mexican exports to the US also increased, relative to other countries' exports of the same products, in products that already entered the US market duty-free (Besedes et al., 2020), which suggests that the treaty facilitated exports through channels other than tariff cuts.

NAFTA's entry into force triggered a large expansion of Mexican exports to the US (Romalis, 2007). Because of Mexico's comparative advantage in labor-intensive activities relative to the US, the growth in Mexican exports was concentrated in low-skill manufacturing and labor-intensive agriculture. Thus, in Mexican exporting regions, NAFTA caused significant gains in low-skill wages and employment (Atkin, 2016). Additionally, given the high costs of withdrawing from a free trade agreement, as discussed in Section 2, the liberalization that produced these gains was unlikely to be reversed, so these gains constituted a durable income shock to working-class voters in exporting regions. In Sections 4 and 5, I show that post-NAFTA economic gains undermined the regime's electoral machine in Mexican regions that were highly exposed to the positive export shock.

3.1.1 Why NAFTA?

Why would a clientelistic incumbent accept free trade if liberalization will undermine its clientelistic networks? Scholars of Mexican politics offer two explanations for why Salinas' government had an interest in negotiating a free trade agreement with the United States despite its reliance on machine-based mobilization. First, when Salinas took office in 1988, Mexico still faced the consequences of its 1982 fiscal crisis: the government was highly indebted, inflation was chron-

[4]Tariffs on most of the remaining products were eliminated in equal annual cuts over five or ten years. Products facing the longest, fifteen-year phase-out accounted for less than 1 percent of the pre-NAFTA value of Mexican exports to the US (Abbott, 1995). Section 5 discusses the impact of NAFTA in the agricultural sector.

ically high, and GDP per capita was still below its pre-crisis level (Lustig, 1998). The economic downturn had severely undermined the popularity of the PRI, which for the first time in history experienced significant losses in the 1985 and (particularly) the 1988 elections. In this setting, it was paramount for the regime to rekindle economic growth to prevent further electoral losses. The Salinas administration hoped that economic integration with the US would improve the country's economic situation by attracting foreign investment, guaranteeing access to the US market, and stimulating export-led growth.

Second, NAFTA also offered the technocratic reform wing a way to lock in economic liberalization and make it hard for any future government to reverse. This served the reformers on two fronts. Abroad, given the country's precarious fiscal situation, the government had an interest in sending a credible signal to foreign creditors and investors that there would not be a reversal to statist policies (Maxfield, 1997; Lustig, 1998). In this sense, NAFTA served as a credible commitment device because the agreement included several binding commitments that would be costly to abandon in case a future Mexican administration attempted to reinstate statist policies (Maggi and Rodríguez-Clare, 1998; Hufbauer and Schott, 1993). At home, the same commitments helped the technocrats sideline the party's statist faction by making its protectionist policy agenda impossible to implement.

3.2 Party Landscape

This subsection characterizes the main parties that contested elections in this period. A party's mobilization strategy—e.g., whether it mostly relies on clientelistic mobilization or programmatic appeals—is a crucial determinant of how it will be affected by a clientelism-eroding economic shock. As discussed above, the incumbent **PRI** was ideologically heterogeneous and relied heavily on clientelistic mobilization. The party could leverage its control over state resources to employ a diverse set of clientelistic strategies such as patronage, threats to withdraw peasants' land rights, and vote buying. Scholars of Mexican politics agree that the PRI did not have a consistent policy platform. Instead, the government's policy priorities shifted according to which faction held the presidency (Centeno, 1994). By the 1990s, when the technocratic wing dominated the party, the PRI's position could be broadly described as centrist in Mexico's political spectrum. While the PRI had embraced liberal economic reforms and trade liberalization, its support for continued state ownership of key assets like oil placed it to the left of the conservative opposition.

The PRI supported three minor ***satellite*** **parties**: the PPS, PARM, and PFCRN[5]. Although these parties were nominally leftist, in practice their policy positions amounted to little other than supporting the government's policies (Rodríguez Araujo, 1979; Molinar Horcasitas, 1991; Bruhn,

[5]Popular Socialist Party, Authentic Party of the Mexican Revolution, and Cardenist Front for National Reconstruction, respectively.

1997). Given their thin programmatic commitments, the *satellite* parties relied heavily on broker-based electoral mobilization of poor voters in marginalized communities such as squatter settlements (Alvarado and Minello, 1992). They could sustain this clientelistic mobilization because, unlike opposition parties, they received extralegal funding from the Mexican government (Bruhn, 1997). However, unlike the PRI, the *satellite* parties did not control the bureaucracy and had a weak presence in local governments, which forced them to rely largely on the distribution of material handouts. While the *satellite* parties' everyday clientelistic practices have received little scholarly attention, declassified surveillance files of the Federal Security Directorate (DFS)—the regime's secret police—document the *satellite* parties' reliance on handout-based clientelistic mobilization in low-income neighborhoods[6]. Appendix A describes the DFS files and presents this evidence in detail.

In turn, the PRI's opposition was split between left-wing and right-wing parties. Despite their ideological differences, both opposition parties shared two features. First, since they lacked access to state resources, the parties had little clientelistic mobilization capacity (Greene, 2007; Magaloni, 2006). Second, opposition parties were significantly more ideological than pro-regime parties. Since these parties competed at a significant disadvantage, their membership attracted highly ideological individuals who self-selected into these parties despite their electoral weakness (Greene, 2007).

The right-wing opposition was organized around the National Action Party (**PAN**), a conservative Catholic party. The PAN's main constituency was the urban middle class, which was prosperous enough to be autonomous from the regime's electoral machine (Loaeza, 1999; Magaloni, 2006). The PAN had consistently favored economic liberalization and was perceived by Mexican voters as the most pro-market party (Loaeza, 1999; Greene, 2007). Regarding trade, the PAN was generally supportive of NAFTA and trade liberalization (Loaeza, 1999).

On the left, the main opposition party was the Party of the Democratic Revolution (**PRD**). The PRD was the institutional successor of a lineage of socialist parties stretching back to the Mexican Communist Party[7]. The party took its modern form in 1989, when this socialist current merged with a group of dissident PRI politicians from the party's statist wing. Crucially, however, these defectors did not bring the PRI's clientelistic machine with them since the brokers and state resources that sustained clientelistic mobilization remained with the government (Bruhn, 1997). Thus, the PRD competed as a redistributive programmatic party and drew support from the urban

[6]This characterization is also consistent with informal conversations with former activists of the independent left (the PMS and PSUM) and the early PRD—parties that competed directly against the *satellite* parties for the same low-income electorate—who described the same practices.

[7]The independent left was represented by the Mexican Communist Party (PCM, 1977–1981), the Unified Socialist Party of Mexico (PSUM, 1981–1987), the Mexican Socialist Party (PMS, 1987–1989), and the Party of the Democratic Revolution (PRD, from 1989). For most of the period I study, this camp is represented by the PRD.

and rural poor. Relative to the other major parties, the PRD favored more statist economic policies (Magaloni, 2006). However, given the potential costs of exiting the agreement, the party did not advocate for a radical reversal of trade liberalization (Bruhn, 1997).

Table 1 classifies the parties based on their policy positions and their dependence on clientelistic or programmatic appeals for voter mobilization. In the next section, I turn to the data and research design used to estimate how NAFTA exposure reshaped electoral support.

Table 1: Party Classification

		Ideology		
		Left	**Center**	**Right**
Pro-Regime	**Clientelistic**	**Satellite Parties**	**PRI**	
Opposition	**Programmatic**	**PRD**		**PAN**

Notes: The table classifies parties by their alignment with the regime, their dominant mode of voter mobilization, and their ideological position.

4 Evidence From the Manufacturing Sector

4.1 Data

My goal is to build a panel of Mexican regions at the most fine-grained level at which I can accurately measure both regional exposure to the post-NAFTA export boom and electoral outcomes. The manufacturing analysis relies on three sources:

- **Industry-Level Employment Data:** To measure regional exposure to NAFTA-induced economic gains, I digitized the **1989 Mexican Industrial Census**, which includes municipal-level employment in each of the manufacturing industries of the *Mexican Classification of Activities and Products* (CMAP). To measure the industry-level export shock, I link each HTS-6 export product to a Mexican industrial classification by using Pierce and Schott (2009) and INEGI's concordance tables.

- **Electoral Data:** I use congressional district-level results for all lower-house (Chamber of Deputies) legislative elections held between 1979 (the first election run under this system) and 2000 (when the PRI lost the presidency and Mexico transitioned into a fully competitive democracy)[8]. I use district-level data because it is the most fine-grained level at which electoral results were consistently published through this period. Electoral authorities only began publishing municipality-level results for legislative elections in 1991 (the last pre-NAFTA election). Thus, a municipality-level analysis does not allow me to evaluate pre-NAFTA political trends. As a robustness check, Appendix C shows that a municipality-level analysis yields consistent findings.

  Similar to the US's House of Representatives, Mexico is divided into 300 congressional districts with roughly equal population[9]. I focus on Chamber of Deputies elections for two reasons. First, unlike mayoral or gubernatorial elections—which are often contested on local issues and revolve heavily around candidates—legislative elections in Mexico are highly nationalized and party-centric, so legislative elections more accurately measure voters' support for each party. Second, unlike legislative elections, which are held nationwide every three years, mayoral and gubernatorial elections follow state-specific calendars, with a subset of states holding local elections in a given year. Thus, in a panel of local elections, each period would cover a different subset of states, which would conflate NAFTA's effects with changes in the composition of the sample.

- **Demographic and Economic Data:** I use microdata from the 1990 and 2000 National Population Censuses to construct a set of demographic and socioeconomic controls, such as population, urbanization, literacy, indigenous population share, poverty rates, migration, and inequality. I describe each control where I introduce the corresponding specifications in Section 4.3.

As noted above, electoral and manufacturing data exist at different geographic levels (300 congressional districts vs. 2,403 municipalities). Municipalities are not nested in congressional districts: while most districts are unions of whole municipalities, other districts split municipalities. Thus, I aggregate districts and municipalities into the smallest geographic units that are unions of complete districts and complete municipalities. This procedure yields 201 clusters at which both electoral and manufacturing data can be measured accurately.

[8]Electoral data for 1991 and later elections come from Mexico's Federal Electoral Institute. Results for previous elections come from CEDE (2024).

[9]The Mexican Chamber of Deputies, however, also has seats allocated through proportional representation (100 from 1979–1985, and 200 from 1988 onward). Since opposition parties rarely defeated the PRI at the district level, most opposition legislators were elected through the PR seats, so any increase in an opposition party's vote share was politically relevant.

4.2 Measuring Exposure to the Export Shock

To measure each cluster's exposure to the post-NAFTA export boom, I construct an Autor et al. (2013)-style shift-share index that combines national industry-level export growth with each cluster's pre-NAFTA employment composition.

$$\text{NAFTA Index}_c = \sum_j \frac{L_{c,j}}{\text{Workers}_c} \times \frac{\Delta\text{Exports}_j}{L_j^{\text{nat}}}$$

Where $L_{c,j}/\text{Workers}_c$ denotes the pre-NAFTA (1989) share of cluster c's workers employed in manufacturing industry j; L_j^{nat} is the pre-NAFTA national employment in manufacturing industry j; and $\Delta\text{Exports}_j$ corresponds to the total change (USD) in Mexican exports to the US in industry j between 1991 and 2000.[10] The index approximates the per-worker change in export value that cluster c would experience if each of its industries grew at the national rate. Intuitively, the index takes on high values if, pre-NAFTA, cluster c was highly specialized in manufacturing industries where Mexican exports to the US grew significantly after NAFTA. Figure 1 maps the geographic distribution of the NAFTA Index variable.

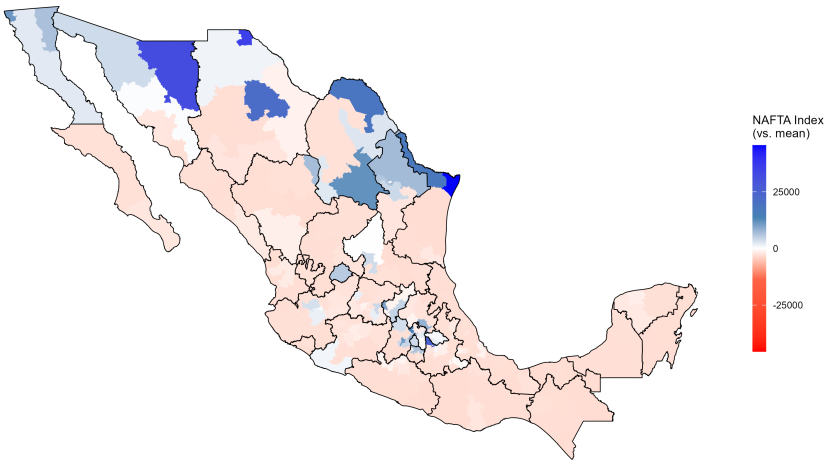


Figure 1: NAFTA Index: Geographic Distribution. Each shaded unit is one of the 201 clusters used in the manufacturing analysis. The shading shows the cluster's NAFTA Index relative to the national mean. Blue (red) shades denote high (low) exposure.

[10] Export data come from UN Comtrade.

By design, the NAFTA Index has two features that must be accounted for. First, because each cluster's industry shares sum up to its total manufacturing employment share, the index systematically takes larger values in clusters that are highly specialized in manufacturing. If industrial clusters follow different political trends *vis-à-vis* clusters specialized in other sectors, then any findings would be confounded. To address this issue, all specifications dynamically control for the total cluster-level share of manufacturing employment—i.e., all specifications allow clusters to follow different trends based on their total pre-NAFTA manufacturing employment[11]. In other words, the effective variation does not come from some clusters being more specialized in manufacturing than others, but from each cluster's industrial *composition*, conditional on its total manufacturing employment share.

Second, as Figure 1 illustrates, exposure is concentrated in clusters near the Mexico-US border. Even before NAFTA, some Mexican industries sent significant exports to the US, and exporting firms sorted in northern regions to reduce their transportation costs (Hanson, 1997). The index is thus strongly correlated with each cluster's distance to the Mexico-US border, which raises the concern that it simply proxies for a cluster's distance to the US. Indeed, absent NAFTA, there are multiple reasons why regions close to the US might have diverged politically from the rest of the country—e.g., high migration, drug-trade dynamics, a more conservative political culture. Thus, all empirical specifications allow electoral trends to vary with each cluster's distance to the US border, measured as the log of the shortest distance, in kilometers, from the cluster's centroid to the nearest US port of entry along the pre-NAFTA road network.[12]

Table 11 in the appendix shows descriptive statistics for the variables used in the manufacturing analysis. As the table shows, the NAFTA Index is heavily right-skewed, which raises concerns that any findings are driven by a few outlier clusters. However, as discussed above, the effective variation used in the empirics is conditional on total pre-NAFTA manufacturing employment and distance to the US-Mexico border. Thus, as Appendix D shows, the effective variation is substantially less skewed. Moreover, Appendix C shows that the manufacturing results are robust to dropping the most influential clusters.

The next subsection presents the empirical strategy of the manufacturing analysis.

4.3 Empirical Strategy

I exploit variation in each cluster's exposure to the post-NAFTA export shock to identify the effect of NAFTA on economic and political outcomes. The baseline empirical specification is a difference-in-differences model that compares trends in clusters specialized in industries that ex-

[11]This corresponds to Borusyak et al. (2022)'s *incomplete shares control*.

[12]I compute shortest-path road distances over Mexico's 1985 road network from each cluster's centroid to the nearest US-Mexico land border crossing.

perienced large post-NAFTA growth with clusters specialized in industries that did not. More formally, I estimate:

$$Y_{ct} = \alpha_c + \gamma_t + \beta \cdot (\text{NAFTA Index}_c \times \text{After}_t) + \boldsymbol{\delta}'(\mathbf{X}_c \times \text{After}_t) + \varepsilon_{ct}$$

Where Y_{ct} is cluster c's outcome at time t; After_t is an indicator variable that equals one for all periods after NAFTA entered into force in January of 1994; α_c and γ_t are cluster and period fixed effects; and $\mathbf{X}_c$ is a vector of pre-NAFTA controls: the cluster's share of workers in manufacturing, its (log) distance to the US-Mexico border, and, in the full specifications, a set of economic and demographic covariates from the 1990 census[13]. To facilitate the interpretation of these results, I standardize the NAFTA Index, so all coefficients should be interpreted as the expected change in the dependent variable associated with a one standard deviation increase in the NAFTA Index.

The identifying assumption is that, absent NAFTA, high-exposure clusters would have followed similar trajectories to low-exposure clusters. To assess its plausibility, whenever data availability allows it, I estimate event-study specifications that replace After_t with a full set of period indicators interacted with the NAFTA Index, which allows me to test for differential pre-NAFTA trends across exposure levels and to trace the effect's dynamics after 1994.

$$Y_{ct} = \alpha_c + \gamma_t + \sum_{k \neq 1991} \beta_k \cdot (\text{NAFTA Index}_c \times \mathbf{1}\{t = k\}) + \sum_{k \neq 1991} \boldsymbol{\delta}_k'(\mathbf{X}_c \times \mathbf{1}\{t = k\}) + \varepsilon_{ct}$$

Where $\mathbf{1}\{t = k\}$ is an indicator variable that equals one in period k and zero otherwise; the omitted reference period corresponds to 1991 (the last pre-NAFTA election). All remaining terms are defined as in the baseline difference-in-differences specification above. The coefficients of interest β_k trace the association between NAFTA and the outcome variable in each period relative to 1991. If high-exposure and low-exposure clusters followed similar trajectories before NAFTA entered into force, then pre-1994 β_k coefficients should be close to zero.

4.4 Economic Outcomes

I first show that the NAFTA Index is strongly correlated with the cluster-level change in manufacturing employment from 1989 to 1999. Table 2 displays the estimates of a two-period (1989, 1999) difference-in-differences model where the dependent variable is the log of each cluster's

[13]The census covariates are log population, the marginalization index, the literacy rate, the share of the population with post-primary schooling, the urban share, the indigenous share, and the shares of employment in the primary, secondary, and tertiary sectors. In the municipality-level analyses of Appendix C, the indigenous share and the sectoral employment shares are replaced by population density, and schooling is measured as the share of the population with completed primary schooling.

total manufacturing employment in the corresponding year. An important concern is that, after dynamically controlling for each cluster's share of manufacturing employment and distance to the Mexico-US border, the variable may not be strongly correlated with post-NAFTA economic gains. Column 1 displays the coefficients of a model that controls for the interactions of these variables and the post-NAFTA indicator. The NAFTA Index is strongly associated with the post-NAFTA increase in manufacturing employment: a one standard deviation increase in exposure to the export shock is associated with approximately a 15 percent increase in manufacturing employment. Another concern is that high-growth industries were concentrated in regions that differed from the rest of the country on other dimensions such as human capital, urbanization, or development. Column 2 adds the full set of pre-NAFTA demographic and economic controls estimated from the 1990 census microdata: total population, poverty, education, urbanization, indigenous population[14], and sectoral employment composition, each interacted with the post-NAFTA indicator. As the coefficient shows, the association between the NAFTA Index and manufacturing employment gains remains statistically significant: approximately a 14 percent increase in manufacturing employment ($p < 0.05$).

Table 2: First Stage: NAFTA Index and Manufacturing Employment

Dependent Variable:	Log Manufacturing Employment	
	(1)	(2)
NAFTA Index (std.) × Post	0.1532***	0.1353**
	(0.0502)	(0.0523)
Mfg. Empl. Share × Post	−4.7761***	−5.5718***
	(0.6072)	(0.7265)
Log Dist. to Border × Post	−0.1858***	−0.1894***
	(0.0384)	(0.0449)
Demographic & Economic Controls	×	✓
Cluster FE	✓	✓
Year FE	✓	✓
Clusters	201	201
Periods	2	2
Observations	402	402

Dependent variable: log(1 + manufacturing employment), measured in the 1989 and 1999 Industrial Censuses. Column (2) adds the controls described in Section 4.3. Standard errors clustered at the cluster level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

4.5 Political Outcomes

I then evaluate the political consequences of NAFTA. Table 3 displays the estimates of a difference-in-differences model that examines the association between exposure to the NAFTA export shock

[14]The PRI had strong ties to indigenous traditional authorities, which may have caused its support in highly indigenous regions to follow different trajectories (Benton, 2012). Since the indigenous population is concentrated in southern, rural, low-exposure clusters, this could confound the results.

and support for pro-regime parties (the PRI and its satellite parties)[15], which were heavily reliant on clientelistic mobilization. As Column 1 shows, support for pro-regime parties fell significantly in high-exposure regions: a one standard deviation increase in exposure to the export shock is associated with a 2.6 percentage point decrease in the pro-regime vote share. In Column 2, I add the set of census economic and demographic controls, and the estimated decline remains statistically significant and, if anything, slightly larger in magnitude: a one standard deviation increase in exposure is associated with a 2.8 percentage point decrease in the pro-regime vote share. This decline is consistent with Hypothesis 1: a positive, clientelism-eroding export shock reduced support for the parties that relied most heavily on clientelistic mobilization.

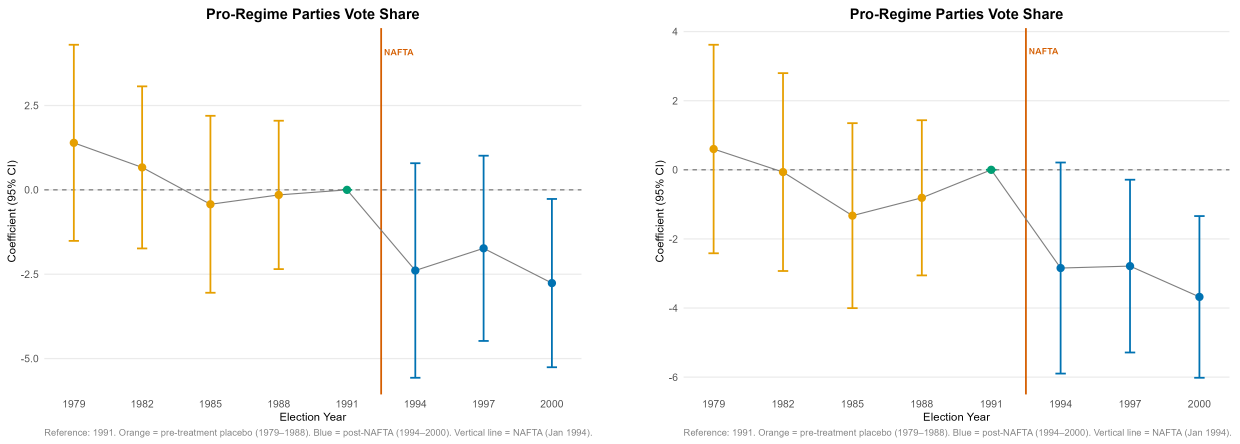
Figure 2 plots the dynamic effects of the corresponding event-study specification. As the figure shows, before NAFTA, high- and low-exposure clusters did not follow different trajectories: the pre-1994 coefficients are small and statistically indistinguishable from zero, and I cannot reject the hypothesis that all pre-NAFTA placebo estimates jointly equal zero (joint p-value $= 0.78$ and 0.60 under the basic and full controls, respectively).

Table 3: Effect of NAFTA Exposure on Pro-Regime Vote Share

Dependent Variable:	Pro-Regime Total	
	(1)	(2)
NAFTA Index (std.) × Post	-2.592^{**}	-2.787^{***}
	(1.207)	(1.063)
Demographic & Economic Controls	×	✓
Cluster FE	✓	✓
Year FE	✓	✓
Clusters	201	201
Elections	8	8
Observations	1,606	1,606
Mean of dep. var.	67.41	67.41

Dependent variable: vote share in percentage points. Column (2) adds the controls described in Section 4.3. Standard errors clustered at the cluster level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

[15] I count a vote for any of the satellite parties as a vote for the regime. The major complication is the 1988 election, when the satellite parties and the left-wing opposition both supported PRI dissident Cuauhtémoc Cárdenas. However, contemporaneous accounts show that opposition leaders were highly skeptical of the satellite parties' true loyalty. Indeed, mistrust towards the satellite parties was one of the reasons why the left-wing opposition and the satellite parties did not form a coalition for the legislative election and ran on different slates (Bruhn, 1997). Following the election, the opposition's skepticism was validated when the satellite parties switched back to supporting the PRI (Molinar Horcasitas, 1991). Given the strong association between the satellite parties and the regime, it is unclear whether a vote for them in the 1988 election represented a vote against the regime. For consistency, I always include the satellite parties in the pro-regime vote share.



(a) Basic Controls

(b) Full Controls

Figure 2: Event Study: Pro-Regime Vote Share. Reference: 1991. Vertical line = NAFTA (Jan 1994). 95% CI.

I then decompose the pro-regime vote into the PRI itself and its satellite parties (PPS, PARM, PFCRN). Table 4 displays the estimates of the corresponding difference-in-differences models. The decline in support for pro-regime parties is concentrated almost entirely in the satellite parties: a one standard deviation increase in exposure to the post-NAFTA export shock is associated with a 2.5 percentage point decrease in support for the satellite parties, whereas the association with the PRI vote share is close to zero and statistically insignificant. As Columns 2 and 4 show, these findings are robust to the addition of demographic and economic controls. In turn, Figure 3 displays the corresponding event-study plots, which show that high- and low-exposure clusters followed similar trajectories before NAFTA.

While all pro-regime parties relied on clientelistic mobilization, their resources constrained the strategies they could employ. On the one hand, the PRI's control of the federal and local governments allowed it to offer benefits, like patronage jobs, that were relatively valuable and gave voters a direct stake in the party's electoral success. Public sector jobs in the developing world generally carry a significant wage premium: public sector workers earn higher wages than similar workers in the private sector (Finan et al., 2017). Since public sector jobs are particularly valuable, patronage employment entails a high defection cost that makes it resilient to a positive economic shock, which could explain why the PRI's support remained stable[16]. However, the PRI did lose support in the regions where its clientelistic machine was strongest: as Section 5 shows, in predominantly rural municipalities, higher exposure to NAFTA-induced economic gains is associated with a significant decrease in the PRI vote share.

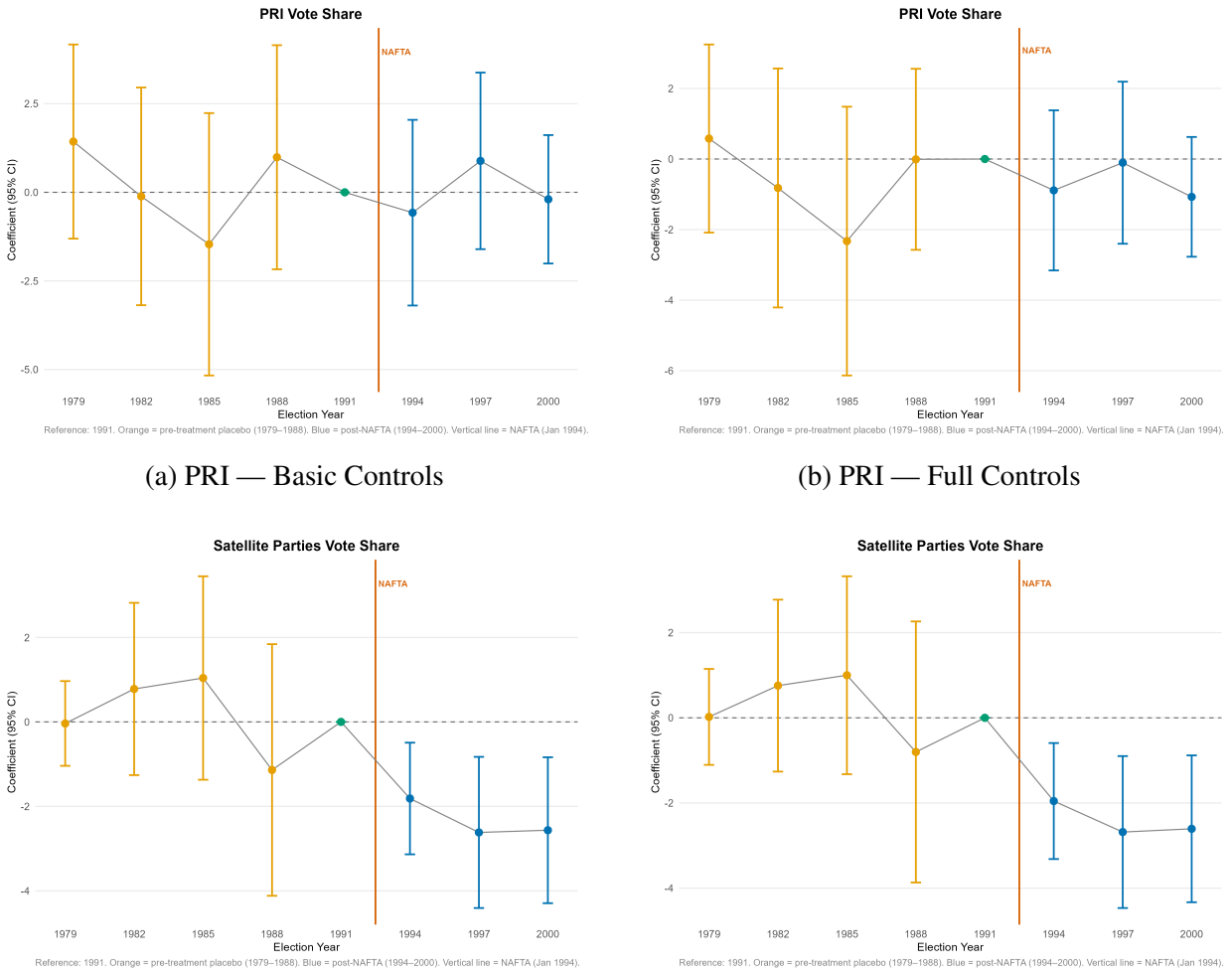
[16]An alternative interpretation is that, in highly exposed regions that saw significant economic gains, the PRI did lose clientelistic support but benefited from retrospective economic voting such that both effects canceled out. Unfortunately, I cannot evaluate this possibility because of the lack of granular electoral data for the period.

On the other hand, the satellite parties lacked these resources and had to rely on the provision of one-shot material handouts. Moreover, even though the parties were purportedly left-wing, their lack of programmatic commitment meant that, absent clientelism, voters had little reason to support them. Finally, it is worth mentioning that the satellite parties' voter base left them highly exposed to the NAFTA shock. As Figure 8 in the appendix shows, the satellite parties were relatively stronger in urban regions, which benefited the most from the increase in manufacturing employment. Together, these features made the satellite parties vulnerable to a clientelism-eroding positive economic shock.

Table 4: Effect of NAFTA Exposure on PRI and Satellite Party Vote Share

Dependent Variable:	PRI		Satellite Parties	
	(1)	(2)	(3)	(4)
NAFTA Index (std.) × Post	−0.1301	−0.1788	−2.462**	−2.608**
	(1.073)	(1.005)	(1.124)	(1.114)
Demographic & Economic Controls	×	✓	×	✓
Cluster FE	✓	✓	✓	✓
Year FE	✓	✓	✓	✓
Clusters	201	201	201	201
Elections	8	8	8	8
Observations	1,606	1,606	1,606	1,606
Mean of dep. var.	61.05	61.05	6.36	6.36

Dependent variable: vote share in percentage points. Columns (2) and (4) add the controls described in Section 4.3. Standard errors clustered at the cluster level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.



(a) PRI — Basic Controls

(b) PRI — Full Controls

(c) Satellite Parties — Basic Controls

(d) Satellite Parties — Full Controls

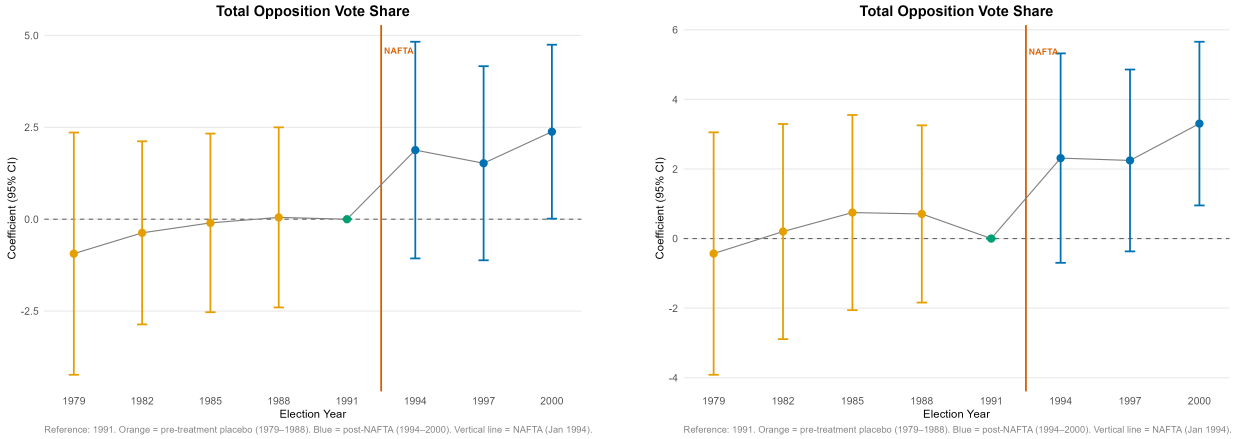
Figure 3: Event Study: PRI and Satellite-Party Vote Shares. Reference: 1991. Vertical line = NAFTA (Jan 1994). 95% CI.

The erosion of the regime's electoral machine should have benefited opposition parties, whose lack of resources meant they could not rely on clientelistic mobilization. Table 5 displays the estimates of a difference-in-differences model that evaluates the association between the NAFTA shock and support for opposition parties. As Column 1 shows, opposition parties saw significant gains in regions highly exposed to the post-NAFTA export boom: a one standard deviation increase in exposure is associated with a 2.2 percentage point increase in support for the opposition. These findings are robust to the inclusion of economic and demographic controls. Moreover, as Figure 4 shows, before NAFTA, support for the opposition followed similar trends in high-exposure and low-exposure regions.

Table 5: Effect of NAFTA Exposure on Total Opposition Vote Share

Dependent Variable:	Total Opposition	
	(1)	(2)
NAFTA Index (std.) × Post	2.200**	2.379**
	(1.099)	(1.016)
Demographic & Economic Controls	×	✓
Cluster FE	✓	✓
Year FE	✓	✓
Clusters	201	201
Elections	8	8
Observations	1,606	1,606
Mean of dep. var.	26.84	26.84

Dependent variable: vote share in percentage points. Column (2) adds the controls described in Section 4.3. Standard errors clustered at the cluster level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.



(a) Basic Controls

(b) Full Controls

Figure 4: Event Study: Total Opposition Vote Share. Reference: 1991. Vertical line = NAFTA (Jan 1994). 95% CI.

A natural interpretation of these results within the standard economic voting framework is that voters in high-exposure regions may increasingly favor free trade and switch towards more pro-market parties. I can directly evaluate this interpretation because the two opposition parties were sharply divided on economic policy (the PAN was the most pro-market party in Mexico, while the PRD was a left-wing statist party). This interpretation would imply that the opposition gains should be concentrated in the pro-market PAN. However, as Table 6 shows, most gains accrue to the left-wing opposition (PRD): a one standard deviation increase in exposure is associated with a 2.2 percentage point increase in support for the PRD. By contrast, the association between shock intensity and support for the PAN is close to zero and statistically insignificant. Figure 5 plots the corresponding event studies. Although these results contradict the predictions of the standard economic voting framework, they are consistent with the erosion of the regime's clientelistic net-

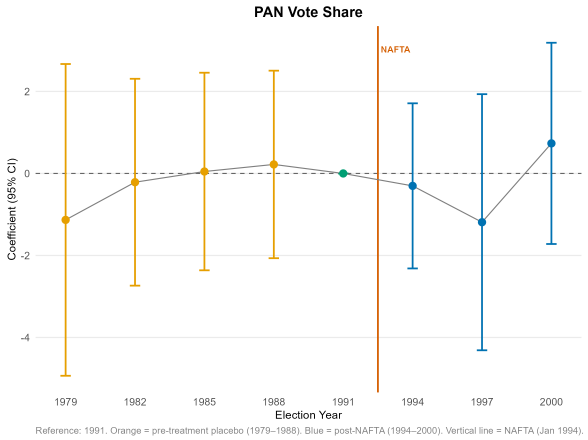
works. The breakdown of clientelistic ties that bound (mostly poor) voters to pro-regime parties allowed them to switch their votes towards a party with a credible programmatic commitment to implementing pro-poor policies, which is consistent with Hypotheses 3 and 4.

An alternative interpretation that is also consistent with the clientelism erosion mechanism is that the voters embedded in the satellite parties' clientelistic networks were ideologically close to these parties. Indeed, clientelistic parties generally target voters who are ideologically close to them. As previously noted, a voter will participate in a patron-client exchange only if the value of the clientelistic handout exceeds the difference between the utility of voting for her preferred candidate and the utility of voting for the clientelistic party's candidate. This difference is increasing in the ideological distance between the voter and the clientelistic party. When the voter's preferred policy platform is substantially different from that of the clientelistic party, switching her vote entails a large utility loss, so the machine must compensate her with a more valuable handout. Conversely, a voter who is ideologically close to the clientelistic party incurs only a small utility loss from switching her vote towards the clientelistic party, so her support can be bought with a more modest handout (Stokes, 2005; Stokes et al., 2013). Thus, it is more efficient for a clientelistic party to target ideologically proximate voters, which implies that the voters embedded in a clientelistic machine have, on average, policy preferences that lie close to those of the clientelistic party. This targeting logic has two implications. First, when a positive economic shock makes voters less dependent on clientelistic handouts, they should switch towards the programmatic party whose platform is closest to that of the clientelistic party they formerly supported. Second, a clientelistic party is particularly vulnerable to a positive economic shock when it faces a direct programmatic competitor that occupies a similar ideological position, since its voters have a readily available alternative. As Section 3 discussed, the satellite parties were nominally leftist and mobilized a poor, working-class base, so the voters embedded in their clientelistic networks were, on average, left-leaning low-income voters. The PRD was the direct programmatic competitor for exactly these voters. When the export shock made these voters less dependent on handouts, the PRD was therefore the closest available alternative, which could explain why the opposition gains are concentrated in the PRD rather than in the PAN. While the available data do not allow me to adjudicate between the two mechanisms, both accounts are consistent with the erosion of the regime's clientelistic networks and inconsistent with the standard economic voting framework, which predicts that the opposition gains should be concentrated in the PAN.

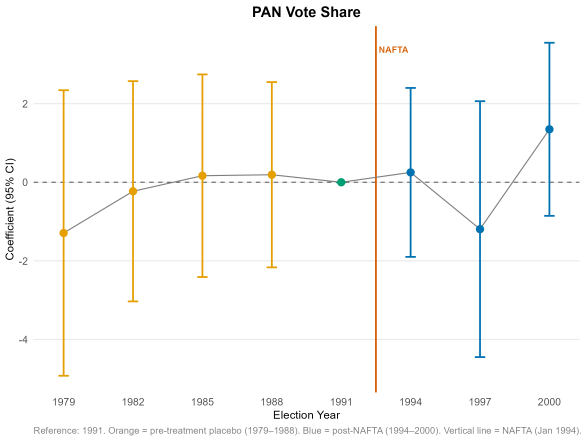
Table 6: Effect of NAFTA Exposure on Opposition Vote Share by Party

Dependent Variable:	PAN (Right)		PRD (Left)	
	(1)	(2)	(3)	(4)
NAFTA Index (std.) × Post	−0.03692	0.3695	2.237**	2.010**
	(1.208)	(1.087)	(1.069)	(0.9364)
Demographic & Economic Controls	×	✓	×	✓
Cluster FE	✓	✓	✓	✓
Year FE	✓	✓	✓	✓
Clusters	201	201	201	201
Elections	8	8	8	8
Observations	1,606	1,606	1,606	1,606
Mean of dep. var.	17.03	17.03	9.82	9.82

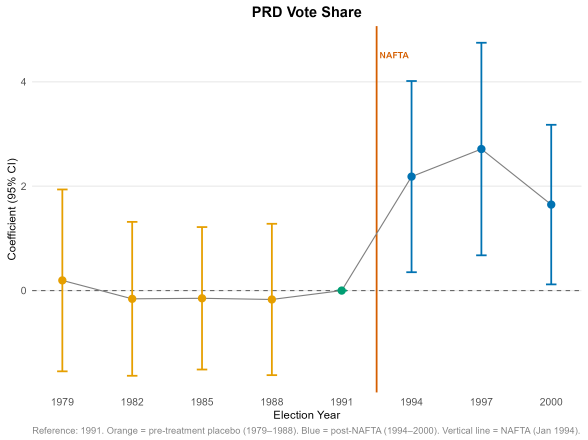
Dependent variable: vote share in percentage points. Columns (2) and (4) add the controls described in Section 4.3. Standard errors clustered at the cluster level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.



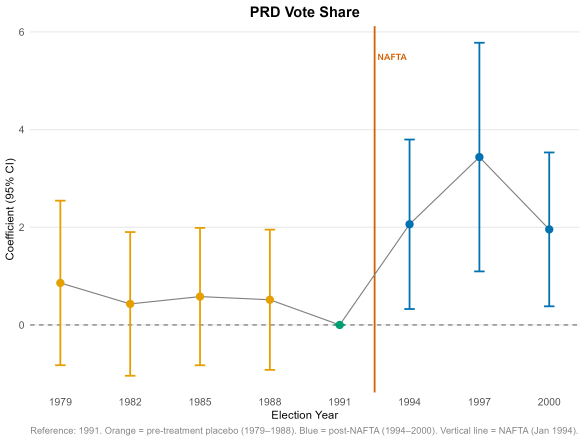
(a) PAN — Basic Controls



(b) PAN — Full Controls



(c) PRD — Basic Controls



(d) PRD — Full Controls

Figure 5: Event Study: PAN and PRD Vote Shares. Reference: 1991. Vertical line = NAFTA (Jan 1994). 95% CI. Pre-1991 PRD results correspond to its institutional predecessors (PCM, PSUM, PMS).

4.6 Robustness Checks

This subsection shows that the manufacturing results remain consistent across a set of alternative specifications.

4.6.1 Municipality-Level Analysis

I show that a municipality-level analysis produces consistent findings. Municipality-level results are only available from the 1991 election (the last pre-NAFTA election) onwards. Thus, while I cannot evaluate pre-trends with this analysis, it is possible to estimate difference-in-differences models comparing the 1991 election to the three post-NAFTA elections across Mexico's 2,403 municipalities. As in the cluster-level analysis, the NAFTA Index is strongly associated with the post-NAFTA growth in manufacturing employment (Table 12), and higher exposure to the export shock is associated with decreased support for pro-regime parties and increased support for the PRD (Table 13). Since the export shock was concentrated in urban municipalities, Table 13 weights each municipality by its pre-NAFTA total population in order to ensure that the estimates reflect the experience of the average voter rather than that of the average municipality. As Table 14 shows, the manufacturing results remain significant at conventional levels when using an unweighted municipality-level panel, although the estimated magnitudes decrease as the sample becomes dominated by highly rural municipalities.

4.6.2 State-Level Trends

Additionally, I estimate difference-in-differences models that include state-by-election-year fixed effects, which allow each state to follow its own post-NAFTA trajectory so that the identifying variation comes exclusively from comparisons between high- and low-exposure regions within the same state. I conduct this analysis at the municipality level, where the median state contains 45 municipalities, rather than at the cluster level, where the median state contains five clusters and two states contain a single cluster that a state-by-election-year fixed effect would absorb entirely. As Tables 15 and 16 show, the manufacturing results are robust to these specifications (although the association with the total opposition vote share is not significant in the unweighted model), which indicates that they are not driven by state-level trends or regional idiosyncrasies.

4.6.3 Spatial Autocorrelation and Influential Clusters

Since NAFTA exposure is geographically concentrated and neighboring clusters tend to have similar exposure values, I recompute the cluster-level specifications to allow standard errors to be spatially correlated across clusters (Conley spatial-HAC) using 100 km, 250 km, and 500 km cutoffs.

Table 17 in the appendix displays these estimates. The manufacturing results remain consistent at the 100–250 km cutoffs. The 500 km cutoff yields larger standard errors for the PRD and satellite-party estimates, such that the effect of the NAFTA Index on the left-wing opposition (PRD) vote share is no longer significant at conventional levels. However, the headline findings—reduced support for pro-regime parties and increased support for the opposition—remain significant even at the 500 km cutoff.

Moreover, because the exposure variable is right-skewed, a natural concern is that a few high-leverage clusters drive the manufacturing results. I identify the most extreme outlier clusters in terms of their NAFTA exposure value (after controlling for their distance to the US and their pre-NAFTA manufacturing employment share) and drop them from the sample. The results are robust to dropping the 10, 15, and 20 highest-leverage clusters (approximately 5, 7, and 10 percent of the sample, respectively): the association between shock intensity and the pro-regime, satellite-party, opposition, and PRD vote shares retains its sign and remains statistically significant throughout. Tables 18–20 in Appendix C display these estimates.

4.6.4 Shift-Share Standard Errors

Recent research has shown that conventional standard errors can understate the sampling variability of shift-share estimators (Adão et al., 2019; Borusyak et al., 2022). To address this concern, I recompute the cluster-level specifications with the exposure-robust standard errors of Adão et al. (2019) and the shift-level standard errors of Borusyak et al. (2022). I also report the null-imposed confidence sets of Adão et al. (2019) (AKM0), which impose the null hypothesis when estimating the standard error and therefore have better coverage when the shift-share variable leverages a small number of shifts. Because the methods of Adão et al. (2019) and Borusyak et al. (2022) are designed for cross-sectional regressions, I collapse the panel into one observation per cluster following Bertrand et al. (2004), which reproduces the difference-in-differences coefficient exactly in a balanced panel. In this case, the coefficients are reproduced to within 0.03 percentage points because two clusters lack one election.[17] Table 21 in the appendix displays these estimates. The main manufacturing results—reduced support for pro-regime parties, concentrated in the satellite parties, and increased support for the opposition—remain significant at the 5 percent level under the exposure-robust and shift-level standard errors, and at the 10 percent level under the AKM0 procedure.

[17]The results of the 1994 election in Puebla's 4th and Veracruz's 22nd federal districts are missing from the Federal Electoral Institute's official records.

4.6.5 Timing of the Export Shock

As discussed in Section 3, trade was rapidly liberalized upon NAFTA's entry into force: products accounting for approximately two-thirds of the pre-NAFTA value of Mexican exports to the US were duty-free on day one, and tariffs on the remaining products, which were phased out in equal annual cuts over five or ten years, received their first cut on the same day. However, a potential concern is that, since the NAFTA Index uses the full 1991–2000 export shift, the estimated effects for the 1994 and 1997 elections may be driven by trade shifts that had not yet occurred. Table 28 in the appendix re-estimates the electoral specifications with an "early shock" version of the index that only leverages the trade shifts realized by 1994[18]. By construction, the results from these models cannot be driven by regions that experienced large trade shocks after 1994 but had seen no change by the 1994 election. Moreover, the early exposure variable is highly correlated with the main index (0.98), which shows that the regions where exports were already booming by 1994 are the same regions that the main index identifies as most exposed. The estimates are consistent with the main manufacturing results.

Additionally, Table 29 in the appendix displays the estimates of two-way fixed effects models that pool the four elections held between 1991 and 2000 and use a time-varying version of the NAFTA Index—i.e., an index that combines each cluster's 1989 industry employment shares with the value of each industry's exports to the United States in each election year. The results remain consistent: higher exposure is associated with significantly decreased support for pro-regime parties and significantly increased support for opposition parties.

4.6.6 Migration, Inequality, and Crime

A potential confounder is that NAFTA-induced economic gains could have incentivized migration into high-exposure clusters, so the political shifts could reflect changes in the composition of the electorate rather than the erosion of clientelistic networks. While high-exposure clusters did receive significantly more migration (Table 22), the manufacturing results are robust to dynamically controlling for the change in migration between 1990 and 2000—i.e., allowing clusters to follow different trends based on the change in their migrant population. Table 23 in the appendix shows that the estimates are essentially unchanged.

Another potential concern is that NAFTA-induced economic growth could have increased local inequality, resulting in increased demand for redistribution and more support for the programmatic left. I use microdata on household income from the 1990 and 2000 national censuses to estimate each cluster's Gini Index before and after NAFTA's entry into force. Table 24 in Appendix C

[18] More formally, the early index replaces the 1991–2000 change in Mexican exports to the US in each industry with the 1991–1994 change; all other terms are defined as in Section 4.2.

shows that high-exposure clusters did not experience a significant increase in inequality relative to low-exposure clusters. Moreover, Table 25 shows that the manufacturing results are robust to dynamically controlling for the change in inequality from 1990 to 2000.

Finally, previous research has shown that the post-NAFTA increase in bilateral trade reduced the cost of transporting illegal drugs to the US, which resulted in increased violence along drug-trafficking routes as cartels violently competed for control (Hidalgo et al., 2026). Thus, if high-exposure regions saw increased crime following liberalization, the decline in pro-regime support may result from voters punishing the incumbent for worsening crime rather than a decline in clientelistic mobilization. I use the 1990 and 2000 municipality-level murder rates to estimate the level of violence in each cluster. Table 26 shows that the NAFTA Index is not significantly associated with the post-NAFTA change in the cluster's murder rate. Moreover, in Table 27, I allow clusters to follow different trajectories based on the change in their murder rate between 1990 and 2000. The manufacturing estimates remain essentially unchanged after introducing this control.

5 Evidence From the Agricultural Sector

I now turn to the paper's second research design, which examines the effect of NAFTA in Mexico's predominantly rural municipalities, where the PRI's clientelistic machine was strongest. Agriculture was deeply transformed by NAFTA: the agreement expanded Mexico's labor-intensive crop exports while exposing traditional grain production to competition from American agriculture. This analysis extends the paper's results in three important ways. First, an alternative interpretation of the paper's findings is that the political shifts were caused by the expansion of the manufacturing sector rather than by reduced dependence on clientelism. Indeed, a long tradition in political economy views industrial workers as the core constituency of left-wing parties (Przeworski, 1985; Przeworski and Sprague, 1986). This analysis allows me to show that the headline findings are not specific to the manufacturing sector: pro-regime parties also saw substantial losses in municipalities whose agro-climatic endowments allowed them to benefit from trade liberalization.

Second, the agricultural analysis allows me to provide additional evidence on the mechanism by leveraging regional variation in the strength of the regime's local clientelistic machine. As Hypothesis 2 states, the association between economic gains and electoral losses for clientelistic parties should be stronger in regions with a higher pre-shock prevalence of clientelism, and absent in regions with little or no clientelism. In rural Mexico, the regime's clientelistic networks relied heavily on a single institution: the *ejidos*, agrarian communities that received land from the state under Mexico's land reform program. Thus, I use the share of agricultural land held by *ejidos* as a proxy for the regime's local clientelistic capacity. Consistent with the clientelism mechanism, the association between potential gains from trade liberalization and decreased support for pro-regime

parties is significantly larger in municipalities where the *ejido* land share is high, and smaller and statistically indistinguishable from zero in municipalities where it is low.

Third, the agricultural setting allows me to separately evaluate the effects of the positive export shock in exporting regions and the negative import shock in import-competing regions. My data do not allow me to separately estimate both effects for the manufacturing sector. Post-NAFTA, supply chains in Mexican and American manufacturing became highly integrated: around 90 percent of the post-NAFTA growth in Mexico's manufacturing imports from the United States consisted of intermediate and capital goods rather than final consumer goods—e.g., American automotive parts destined for Mexican assembly plants. Thus, the industry-level shift in imports does not measure increased import competition: a manufacturing imports index constructed with the same design has a 0.98 correlation with the exports-based NAFTA Index used in the manufacturing analysis[19]. In agriculture, by contrast, export-oriented and import-competing production were concentrated in regions with different agricultural endowments, which allows me to estimate the effects of the two shocks separately.

5.1 NAFTA and Agriculture

Because of its geographic and climatic variation, Mexico produces a diverse basket of agricultural commodities. On the one hand, given its geographic endowments and low labor costs, Mexico was internationally competitive in the production of labor-intensive fruits and vegetables such as tomatoes, strawberries, and citrus (Burfisher et al., 2001). Fresh fruits and vegetables are fragile, ripen unevenly, and are sold on appearance, which often requires the produce to be picked and sorted by hand (Calvin and Martin, 2010; Gallardo and Sauer, 2018). Thus, horticultural production is intensive in (low-skill) labor, which gave Mexico a comparative advantage relative to the United States.

On the other hand, grain production—particularly maize—concentrated the majority of the country's agricultural land and producers (Levy and van Wijnbergen, 1992; de Janvry et al., 1995). Unlike horticultural crops, cereal production is easily mechanized and generates low revenue per unit of land, which makes it intensive in land and capital relative to other crops (Pingali, 2007). Thus, the capital- and land-abundant United States—which was the world's leading grain exporter in the 1990s—held a strong comparative advantage in these products[20].

Therefore, the liberalization of agricultural trade had important distributional consequences across Mexican agricultural regions. While NAFTA established longer transition periods for polit-

[19]Because the 50 industry groups of the 1989 Industrial Census—the source used to measure pre-NAFTA regional specialization—often combine input and final-goods production in the same category, my data do not allow me to separately measure the effect of any increased import competition in manufacturing.

[20]Appendix E evaluates this pattern at the crop level: after NAFTA, Mexico's net exports to the US grew significantly more in crops where labor accounts for a larger share of production costs (USDA ERS, 2026; Astill, 2020).

ically sensitive crops, agricultural trade was rapidly liberalized in practice. On the import side, the discretionary import licenses that protected Mexican staple producers were replaced by duty-free import quotas on the day NAFTA entered into force. Moreover, although the tariff on above-quota imports of maize—Mexico's main staple crop—was scheduled to be phased out over fifteen years, the Mexican government rarely enforced it, which allowed US maize imports to surge well above the quota established by the treaty (Zahniser and Coyle, 2004). On the export side, NAFTA established common guidelines for sanitary and phytosanitary regulations—which had been a major barrier to Mexican agricultural exports—and provided institutional mechanisms through which Mexican exporters could contest these and other non-tariff barriers (Zahniser et al., 2015). In this sense, NAFTA's entry into force was followed by a significant increase in the value of Mexican agricultural exports to the US, which nearly doubled from approximately $3.1 billion in 1991 to $6 billion in 2000 (United Nations, 2026).

5.2 Measurement and Data

I conduct this analysis at the municipality level. Since Mexico is a highly urbanized country, the congressional district-based clusters used in the manufacturing analysis are predominantly urban: the median cluster is 61 percent urban and only 78 of the 201 clusters are majority-rural[21]. By contrast, Mexico's municipalities provide a much more granular unit of analysis that allows me to build an adequately powered rural sample. I focus on predominantly rural municipalities—i.e., municipalities where a majority of the population lived in rural localities in 1990 (1,453 municipalities)[22].

5.2.1 Treatment: Exposure to Agricultural Liberalization

To measure a municipality's exposure to post-NAFTA shifts in agricultural trade, I build a shift-share index. Intuitively, the index captures which crops a municipality is suitable for growing, given its agro-climatic conditions, and how Mexico's trade with the US in each of these crops changed after NAFTA. More specifically, the index combines two features.

The first feature is the municipality's agro-climatic suitability for 44 crops, which I measure using the FAO's Global Agro-Ecological Zones (GAEZ) crop-suitability maps.[23] I use agro-climatic suitability rather than each municipality's observed crop mix because planting decisions

[21] As Table 32 shows, unlike the municipality-level analysis displayed in Table 7, a cluster-level analysis yields an insignificant "first-stage" association between the NAFTA Agricultural Index and post-NAFTA economic changes.

[22] The section's findings are robust to alternative rural-share thresholds—e.g., restricting the sample to municipalities that are more than 40 percent or more than 60 percent rural—although, as expected, the estimated effects of the trade shock become weaker as the sample includes less rural municipalities. Table 33 in the appendix reports the estimates of the core models on these alternative samples.

[23] I use the FAO's suitability estimates under low-input, rain-fed conditions.

are endogenous. Producers choose which crops to grow based on factors—e.g., their access to irrigation—that may independently affect local post-NAFTA economic trajectories. Moreover, a municipality's pre-NAFTA crop mix may fail to adequately measure its exposure to liberalization, since producers can adjust their production in anticipation of, or in response to, the trade shock itself. A municipality's agro-climatic endowment, by contrast, is fixed and captures its potential to grow each crop.

The second feature is the post-NAFTA change in bilateral trade in each crop. I use UN Comtrade data, and I match each agricultural product (HS-6) to a crop using a large language model (GPT-4.1). For each crop, I then compute the change in Mexico's *net* exports of that crop to the US between 1991 and 2000.[24]

$$\text{NAFTA Agricultural Index}_m = \sum_j \frac{\text{Suitability}_{m,j}}{\text{Capacity}_j} \times \Delta\text{NX}_j$$

Where $\text{Suitability}_{m,j}$ is the average agro-ecological suitability of municipality m's land for growing crop j; $\text{Capacity}_j = \sum_m \text{Suitability}_{m,j} \times \text{Cropland}_m$ denotes the country's total capacity to grow crop j—i.e., the cropland-weighted sum of all municipalities' suitability for crop j; and ΔNX_j denotes the total change (USD) in Mexico's net exports of crop j to the US between 1991 and 2000—i.e., the change in Mexican exports to the US minus the change in Mexican imports from the US. Intuitively, the index takes high values for municipalities whose land is highly suitable for growing crops whose Mexican exports to the US grew significantly after NAFTA (e.g., fruits and vegetables), and low values for municipalities suited to crops in which imports from the US grew significantly (e.g., maize, wheat, soybeans). Figure 6 maps the geographic distribution of this index.

[24] Formally, $\Delta\text{NX}_j = (\text{Exports}_{j,2000} - \text{Exports}_{j,1991}) - (\text{Imports}_{j,2000} - \text{Imports}_{j,1991})$, where $\text{Exports}_{j,t}$ and $\text{Imports}_{j,t}$ denote the value (USD) of Mexico's exports of crop j to the US and of its imports of crop j from the US in year t.

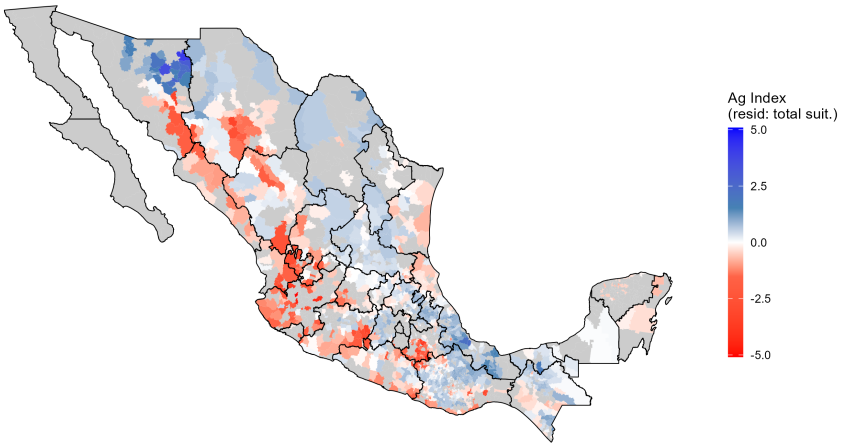


Figure 6: NAFTA Agricultural Index: Geographic Distribution. NAFTA Agricultural Index residualized on total crop suitability across the rural municipalities in the estimation sample; municipalities outside the sample in grey. Blue (red) shades denote high (low) exposure.

5.3 Empirical Strategy

To evaluate the association between the NAFTA Agricultural Index and economic and political outcomes, I estimate difference-in-differences models:

$$Y_{mt} = \alpha_m + \gamma_t + \beta \cdot (\text{Index}_m \times \text{After}_t) + \boldsymbol{\delta}'(\mathbf{X}_m \times \gamma_t) + \varepsilon_{mt}$$

Where Y_{mt} is municipality m's outcome at time t; Index_m is municipality m's NAFTA Agricultural Index, which I standardize; After_t is an indicator variable that equals one for all periods after NAFTA entered into force in January of 1994; α_m and γ_t are municipality and period fixed effects; and $\mathbf{X}_m$ is a vector of geographic controls. Following Borusyak et al. (2022), all specifications dynamically control for each municipality's total capacity-adjusted suitability (i.e., the sum of $\text{Suitability}_{m,j}/\text{Capacity}_j$ across all crops) so that the identifying variation comes from the *composition* of a municipality's agro-ecological endowment rather than from some municipalities being more fertile than others. Additionally, all specifications allow electoral trends to vary with each municipality's geographic characteristics: I interact each municipality's average temperature, precipitation, and altitude with the full set of period fixed effects. The model's identifying assumption is that, absent NAFTA, high- and low-index municipalities would have followed parallel political trends.

5.4 Economic Outcomes

Table 7 displays the estimates of a two-period difference-in-differences model evaluating the association between the NAFTA Agricultural Index and the change in a municipality's paid permanent agricultural employment[25] from 1991 to 2007[26]. The model also controls for each municipality's total suitability, average temperature, precipitation, and altitude, each interacted with the post-NAFTA indicator. As Column 1 shows, higher values of the NAFTA Agricultural Index are strongly associated with local gains in agricultural employment: a one standard deviation increase in the index is associated with approximately a 12 percent increase in the number of paid permanent agricultural workers.

Table 7: NAFTA Exposure and Paid Agricultural Employment: Rural Municipalities

Dependent Variable:	$\log(1 + \text{Paid Permanent Ag. Workers})$
	(1)
NAFTA Agricultural Index (std.) $\times$ Post	0.1168^{***}
	(0.04366)
Climate & Altitude Controls	✓
Observations	2,906
Municipalities	1,453

Dependent variable: log(1 + paid permanent agricultural workers), measured in the 1991 and 2007 Agricultural Censuses. All specifications include the controls described in Section 5. Standard errors clustered at the municipality level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

5.5 Political Outcomes

I now evaluate how NAFTA affected political outcomes in predominantly rural municipalities. Table 8 displays the estimates of difference-in-differences models. The base (pre-NAFTA) period is the 1991 election. Since pre-1991 federal election results were not reported at the municipality level, I cannot evaluate pre-trends with legislative elections. Section 5.6 evaluates them using each municipality's last mayoral election before 1991. Consistent with Hypothesis 1, pro-regime parties lost significantly more support in municipalities that were well endowed to benefit from trade liberalization—i.e., municipalities whose endowments made them suitable for producing Mexico's export crops and exposed them to little import competition. A one standard deviation increase in the NAFTA Agricultural Index is associated with a 1.8 percentage point decrease in the pro-regime vote share. As in the manufacturing analysis, opposition gains are concentrated in the left-wing PRD (a one standard deviation increase in the index is associated with a 1.6 percentage

[25]This variable was built using data from the 1991 and 2007 Agricultural Censuses. The variable excludes unpaid family labor.

[26]Since the earliest post-NAFTA Agricultural Census was not conducted until 2007, I cannot evaluate the first-stage results in earlier years.

point increase in the PRD vote share), which is a pattern inconsistent with an economic voting interpretation in which rural voters respond to NAFTA-associated gains by switching to a more pro-market alternative.

Unlike in the manufacturing analysis, pro-regime losses are concentrated in the PRI instead of the satellite parties. The regional distribution of the regime's clientelistic machine offers a plausible explanation. As discussed in Sections 3 and 4.5, whereas the satellite parties' base was relatively urban, the PRI's clientelistic machine was particularly strong in rural regions, where the land reform program allowed the party to build highly effective clientelistic networks. Insofar as rural clientelism was mostly controlled by the PRI, the party was particularly exposed to a positive economic shock in rural regions. In municipalities well endowed to benefit from NAFTA, economic gains could have reduced peasants' dependence on the credit, inputs, and social programs controlled by PRI brokers[27]. I further evaluate this interpretation in Section 5.7.

Table 8: NAFTA Exposure and Vote Shares: Rural Municipalities

Dependent Variable:	Pro-Regime (1)	PRI % (2)	Satellite (3)	Opp. % (4)	PRD % (5)	PAN % (6)
NAFTA Agricultural Index (std.) × Post	-1.810^{***}	-2.213^{***}	0.4030	1.172^{***}	1.615^{***}	-0.4433
	(0.4604)	(0.5242)	(0.2849)	(0.3984)	(0.3271)	(0.3214)
Climate & Altitude Controls	✓	✓	✓	✓	✓	✓
Observations	5,795	5,795	5,795	5,795	5,795	5,795
Municipalities	1,453	1,453	1,453	1,453	1,453	1,453
Elections	4	4	4	4	4	4
Mean of dep. var.	63.13	60.18	2.95	29.83	17.09	12.75

Dependent variable: vote share in percentage points. All specifications include the controls described in Section 5. Standard errors clustered at the municipality level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

5.6 Robustness Checks

This subsection presents a battery of robustness checks and alternative specifications.

[27] Additionally, a 1992 reform of Mexico's agrarian law, enacted to prepare Mexican agriculture for trade liberalization, improved *ejido* farmers' property rights by granting them individual certificates over their plots and legalizing the rental of *ejido* land. While certification did not end clientelism in *ejidos* (Larreguy, 2013), stronger property rights may have facilitated exit from clientelistic networks in regions whose agricultural endowments offered farmers profitable market opportunities.

5.6.1 Pre-treatment Trends

The identifying assumption of the agricultural analysis is that, absent NAFTA, high- and low-index municipalities would have followed parallel political trends. As previously stated, municipality-level results for legislative elections are only available from the 1991 election—the last pre-NAFTA election—onward. To evaluate pre-treatment political trends, I add an additional pre-NAFTA period to the panel using each municipality's last mayoral election before 1991.[28] Figures 10–12 in the appendix display the corresponding event-study plots for the NAFTA Agricultural Index and for the export and import indices of the joint model. As the figures show, high- and low-index municipalities did not follow different trajectories before NAFTA: for every outcome, the pre-treatment coefficient is small and statistically indistinguishable from zero.

5.6.2 State-Level Trends

A potential concern is that the NAFTA Agricultural Index could be correlated with regional political trends unrelated to NAFTA. To address this concern, I add interactions between state and period fixed effects, which allow electoral trends to vary flexibly by state. In these specifications, the identifying variation comes from within-state variation—i.e., from comparing municipalities with relatively high and low values of the NAFTA Agricultural Index within the same state. As Table 35 in the appendix shows, the estimated effects of the NAFTA Agricultural Index on the pro-regime and PRI vote shares remain negative, statistically significant, and essentially unchanged. The NAFTA Agricultural Index also remains significantly associated with increased support for the opposition. However, in these specifications, the opposition gains are spread across both opposition parties: the estimated effect on the PRD vote share is no longer significant at conventional levels, while the PAN estimate is positive and significant at the 10 percent level.

5.6.3 Rural Population-Weighted Estimates

Table 36 in the appendix displays the estimates of difference-in-differences models in which each municipality is weighted by its pre-NAFTA rural population, so that the estimates reflect the experience of the average rural voter rather than that of the average municipality. The results are consistent with the findings of the unweighted panel: the NAFTA Agricultural Index is associated with decreased support for pro-regime parties and increased support for the opposition and the PRD, although the estimated effects on the pro-regime, PRI, and opposition vote shares are only significant at the 10 percent level.

[28] Data on mayoral elections come from Magar (2018). Unlike legislative elections, which were held nationwide every three years, mayoral elections followed state-specific calendars, so only a subset of states held them in any given year. As a result, the year of each municipality's last mayoral election before 1991 varies by state. For over 90 percent of the municipalities in the sample, this election took place between 1988 and 1990.

5.6.4 Spatial Standard Errors

Since agro-ecological suitability is geographically concentrated and neighboring municipalities tend to have similar values of the NAFTA Agricultural Index, I recompute the standard errors allowing for spatial correlation across municipalities (Conley spatial-HAC) using 100 km, 250 km, and 500 km cutoffs (Table 37 in the appendix). The association with the PRD vote share remains significant at the 1 percent level at all three cutoffs. At the 100 km cutoff, the associations between the NAFTA Agricultural Index and the pro-regime and PRI vote shares remain significant at the 5 percent level, and the association with the opposition vote share at the 10 percent level. However, they lose significance at the 250 and 500 km cutoffs. As Table 38 shows, when I include interactions between state and period fixed effects to allow states to follow different political trajectories, the associations between the NAFTA Agricultural Index and decreased support for pro-regime parties and the PRI remain significant at the 1 percent level at all three cutoffs.

5.6.5 Shift-Share Standard Errors

As discussed in Section 4.6, conventional standard errors can understate the sampling variability of shift-share estimators (Adão et al., 2019; Borusyak et al., 2022). Thus, I recompute the agricultural specifications with the exposure-robust standard errors of Adão et al. (2019) and the shift-level standard errors of Borusyak et al. (2022) (Table 39 in the appendix). The association between the NAFTA Agricultural Index and the PRI vote share remains significant at the 1 percent level under both procedures, and the association with the pro-regime vote share remains significant at the 10 and 5 percent levels, respectively. The association with the PRD vote share is significant at the 10 percent level under the shift-level standard errors of Borusyak et al. (2022) and not significant under the exposure-robust standard errors of Adão et al. (2019), and the association between the NAFTA Agricultural Index and the opposition vote share is not significant under either procedure. Finally, the AKM0 procedure, which is designed to have better coverage when the shift-share variable leverages a small number of shifts, yields unbounded confidence sets for every outcome. Thus, given that the variation in the NAFTA Agricultural Index is concentrated in a small number of crops, these findings should be interpreted cautiously.

5.6.6 Timing of the Trade Shock

While the NAFTA Agricultural Index uses the 1991–2000 trade shifts, the paper's findings are robust to using alternative exposure variables that only leverage the trade shifts realized by each election year. Table 40 in the appendix shows the estimates from three difference-in-differences models, each of which compares the 1991 election with one post-NAFTA election and builds the exposure variable using the trade shifts realized by that election year—i.e., 1991–1994 for the 1994

election, 1991–1997 for the 1997 election, and 1991–2000 for the 2000 election. In each of the models, higher exposure is significantly associated with decreased support for pro-regime parties and the PRI, and increased support for the opposition and the PRD. Moreover, Table 41 in the appendix shows that a two-way fixed effects model that pools the four elections and uses a time-varying exposure variable—i.e., built using the value of each crop's net exports to the United States in each election year—yields consistent results: higher exposure is associated with significantly decreased support for pro-regime parties and the PRI and significantly increased support for the PRD.

5.6.7 Economic Volatility Control

Previous research has shown that globalization can increase demand for redistribution and social insurance by exposing voters to greater economic volatility (Rodrik, 1998; Scheve and Serlin, 2023). If the international prices of Mexico's export crops are particularly volatile, then trade liberalization could have exposed the municipalities most suitable for these crops to greater economic volatility, which could explain why voters in these regions shifted toward the pro-redistribution PRD. To evaluate this concern, I estimate each crop's international price volatility using the monthly prices of the World Bank Commodity Price Data whenever available, and the monthly producer price indices of the US Bureau of Labor Statistics when unavailable. I measure a crop's volatility as the standard deviation of the monthly changes in its deseasonalized real price between 1970 and 1993. Following Borusyak et al. (2022), I then build a municipality-level variable measuring exposure to price volatility. Intuitively, this variable takes high values for municipalities that are highly suitable for growing high-volatility crops.[29] Table 42 in the appendix shows the results of difference-in-differences models that interact this variable with year effects to allow municipalities to follow different trends based on their exposure to price volatility. As the table shows, the paper's headline findings hold in this specification.

5.6.8 Migration, Inequality, and Crime

As discussed in Section 4.6, NAFTA-induced economic gains could have incentivized migration into high-exposure regions, so the political shifts could reflect changes in the composition of the electorate rather than the erosion of clientelistic networks. Moreover, these economic gains could have been accompanied by local disruptions—e.g., increased inequality or crime—that eroded support for the incumbent. To address these concerns, I dynamically control for the 1990–2000 change in each municipality's immigrant share, income Gini Index, and murder rate—i.e., I allow

[29] More specifically, the variable is built as $\sum_j \frac{\text{Suitability}_{m,j}}{\text{Capacity}_j} \times \text{Volatility}_j$.

municipalities to follow different trends based on these post-NAFTA changes. Table 43 in the appendix shows that the estimates are essentially unchanged.

5.7 Suggestive Evidence on Clientelism: Treatment Effect Heterogeneity

If the association between export opportunities and decreased support for pro-regime parties is driven by the weakening of clientelism, then, as Hypothesis 2 states, we should observe that this association is stronger in settings with widespread clientelism and absent in settings with little clientelism. Given the central role communal lands (*ejidos*) played in the PRI's rural clientelistic machine, their prevalence can serve as a proxy for the strength of clientelism at the local level. In this subsection, I leverage data from the 1991 Agricultural Census to estimate the strength of the PRI's clientelistic machine at the municipality level. More specifically, I measure each municipality's share of agricultural land held by *ejidos*. I then estimate a set of difference-in-differences models where I interact the NAFTA Agricultural Index with the share of land held by *ejidos*:

$$Y_{mt} = \alpha_m + \gamma_t + \beta \cdot (\text{Index}_m \times \text{After}_t) + \theta \cdot (\text{Index}_m \times \text{After}_t \times \text{Ejido Share}_m) + \boldsymbol{\delta}'(\mathbf{X}_m \times \gamma_t) + \varepsilon_{mt}$$

Where Ejido Share$_m$ denotes the share (from 0 to 1) of municipality m's agricultural land held by *ejidos*, and all remaining terms are defined as in the previous specifications. The period fixed effects and the geographic controls are also interacted with Ejido Share$_m$, so θ is not driven by differential trends associated with the characteristics of high-*ejido* municipalities. Intuitively, θ measures how the association between NAFTA exposure and the outcome varies with the local prevalence of *ejido* land.

Figure 7 displays the estimated treatment effects for municipalities with an *ejido* land share one standard deviation above (left panel) and below (right panel) the sample mean; Table 34 in the appendix displays the models' interaction coefficients. Consistent with the clientelism mechanism, NAFTA-induced gains are strongly associated with pro-regime losses in municipalities with a high *ejido* presence. In a municipality with an *ejido* land share one standard deviation above the sample mean, a one standard deviation increase in the NAFTA Agricultural Index is associated with a 2.8 percentage point decrease in support for pro-regime parties. Conversely, the same increase is associated with a 2.3 percentage point increase in support for opposition parties. By contrast, in municipalities with weak clientelism (i.e., municipalities with an *ejido* land share one standard deviation below the sample mean), both associations are absent, and the effects of the shock are

insignificant and close to zero. These findings suggest that clientelism played a key role in the association between trade-induced economic gains and losses for incumbent parties.

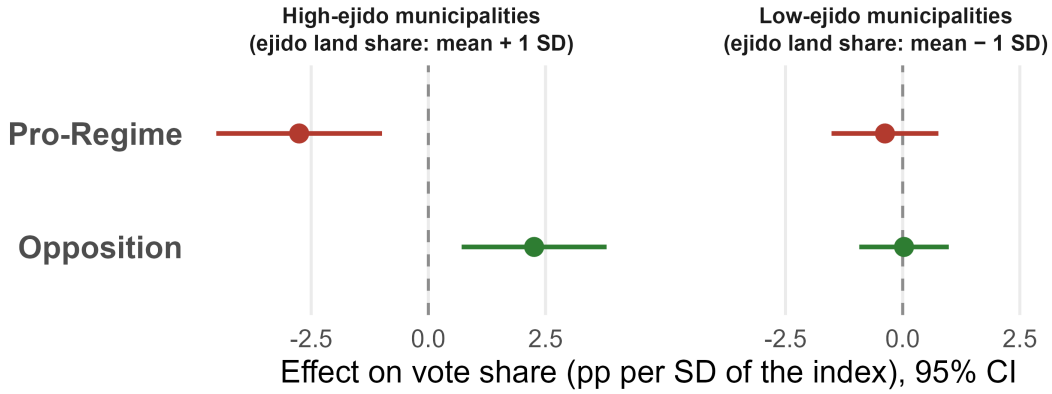


Figure 7: Effect of NAFTA Exposure by *Ejido* Land Share. Delta-method effects of the NAFTA Agricultural Index × Post on the pro-regime and opposition vote shares at the *Ejido* land share mean +1 SD (left) and −1 SD (right), from the continuous-interaction model with climate and altitude controls. 95% confidence intervals.

5.8 Separate Export and Import Shocks

Beyond providing additional evidence on the mechanism, the agricultural analysis also allows me to separately estimate the effect of the positive export shock and the negative import shock. Indeed, such a decomposition is not viable in the manufacturing analysis given the lack of granularity in my data and the high degree of supply-chain integration between Mexican and American manufacturing. By contrast, horticulture and cereal production were concentrated in different geographic regions. To disentangle each effect, I construct the following indices:

$$\text{Export Index}_m = \sum_j \frac{\text{Suitability}_{m,j}}{\text{Capacity}_j} \times \Delta\text{Exports}_j$$

$$\text{Import Index}_m = \sum_j \frac{\text{Suitability}_{m,j}}{\text{Capacity}_j} \times \Delta\text{Imports}_j$$

Where all terms are defined as in the NAFTA Agricultural Index above—i.e., each index combines the same capacity-adjusted suitability weights with only the export or only the import shift. I estimate difference-in-differences models analogous to those in the previous subsections where I introduce both indices simultaneously instead of the net NAFTA Agricultural Index. In all specifications, I allow municipalities to follow different trajectories based on their geographic characteristics.

Table 9 displays the models' estimates. Consistent with the results based on the net NAFTA Agricultural Index and with the manufacturing analysis, higher exposure to the agricultural export boom is significantly associated with decreased support for pro-regime parties. Higher exposure to the agricultural import shock, however, is significantly associated with gains for the PRI and decreased support for opposition parties. A potential interpretation of these findings is that the negative economic shock increased peasants' dependence on PRI clientelism, which paradoxically resulted in PRI support being more resilient in regions that were negatively affected by the incumbent's trade liberalization. Indeed, in the Brazilian context, Rettl (2025) finds that the sharp contraction in Brazilian exports during the first half of the 2010s increased voters' dependence on evangelical churches, which provide informal insurance against economic hardship. In turn, this increased voter dependence strengthened church leaders' ability to act as political brokers and to steer their congregations against leftist parties.

Table 9: Agricultural Export and Import Exposure and Vote Shares: Rural Municipalities

Dependent Variable:	Pro-Regime	PRI %	Satellite	Opp. %	PRD %	PAN %
	(1)	(2)	(3)	(4)	(5)	(6)
Export Index (std.) × Post	−1.495***	−1.050**	−0.4443	1.371***	1.720***	−0.3492
	(0.4809)	(0.5147)	(0.2750)	(0.4218)	(0.3669)	(0.3236)
Import Index (std.) × Post	2.619***	2.788***	−0.1699	−1.910***	−2.542***	0.6324
	(0.5995)	(0.6936)	(0.3937)	(0.5225)	(0.4412)	(0.4119)
Climate & Altitude Controls	✓	✓	✓	✓	✓	✓
Observations	5,795	5,795	5,795	5,795	5,795	5,795
Municipalities	1,453	1,453	1,453	1,453	1,453	1,453
Elections	4	4	4	4	4	4

Dependent variable: vote share in percentage points. All specifications include the controls described in Section 5. Standard errors clustered at the municipality level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

6 Final Remarks

Globalization has produced major economic transformations in both developed and developing countries. An extensive literature documents that economic losses caused by globalization have substantially reshaped the politics of developed democracies by generating backlash against incumbents (Margalit, 2011; Colantone and Stanig, 2018a), increasing polarization (Autor et al., 2020), and strengthening populist movements (Colantone and Stanig, 2018b; Dippel et al., 2022). Yet we know comparatively little about how globalization has impacted the politics of developing countries, where international trade has likewise resulted in major economic change. This gap is compounded by the fact that political conditions in developing countries differ substantially from those of developed democracies (e.g., substantial clientelism, electoral violence, and weak party systems), which limits the generalizability of insights drawn from the developed world.

This paper contributes to addressing this gap by studying the political consequences of NAFTA in Mexico. I show that, contrary to the conventional wisdom that trade's winners reward incumbents, economic gains caused by trade can weaken incumbents in the developing world by undermining their capacity to mobilize low-income voters through state-sponsored clientelism. I argue that, in labor-abundant developing countries, trade liberalization can produce an income shock that is (1) pro-poor, since new employment is concentrated in labor-intensive, low-skill activities; (2) non-excludable, since the gains lie outside the incumbent's control; and (3) durable, since liberalization is hard to reverse. These three features reduce voters' dependence on clientelistic machines, which allows them to vote for the programmatic parties aligned with their policy preferences instead of the incumbent's machine.

To evaluate this argument, I exploit geographic variation in NAFTA exposure through two complementary shift-share designs based on crop suitability in rural municipalities and pre-NAFTA industrial specialization in manufacturing regions. In both sectors, I find that exposure to NAFTA-induced economic gains is associated with decreased support for Mexico's incumbent clientelistic parties. Moreover, in rural municipalities, this association is concentrated in regions where the regime's clientelistic networks were strongest. Conversely, in rural municipalities exposed to increased import competition, support for the PRI increased. Consistent with the paper's argument, electoral gains are concentrated in the left-wing PRD, a party that lacked strong clientelistic networks but offered pro-poor policies that appealed to the low-income voters NAFTA freed from clientelistic dependence. Since the two scope conditions that underpin these findings—a labor-abundant economy, so that trade liberalization benefits low-income workers by creating new employment opportunities, and an incumbent that depends on clientelism to mobilize them—are common in the developing world, the dynamic documented here is likely to generalize well beyond the single case of NAFTA-era Mexico.

These findings have important policy implications. Clientelism is widespread in the developing world and a major hurdle for democratic accountability and representation: incumbents who can leverage the state's resources to mobilize large numbers of voters are largely insulated from electoral pressure (Stokes et al., 2013; Hicken, 2011). Moreover, the existence of large clientelistic networks implies that a large set of voters embedded in these networks, often the most economically vulnerable, cannot express their genuine policy preferences through their vote. Since clientelistic arrangements depend on voters' economic insecurity, a natural question is what can break these links. This paper shows that free trade can play a role in undermining clientelistic dependence in the developing world. This finding is highly relevant in a context of rising protectionism and growing automation, trends that could have a major negative impact on export-oriented employment in the developing world. An open question is how such changes will affect the politics of developing countries, and whether they will result in the reestablishment of clientelistic dependence.

The paper's findings also point to a third answer to the question posed in Section 3: why would an incumbent from a clientelistic regime liberalize trade? The Mexican case suggests that factional dynamics may play a role. Most of the regime's electoral brokers—e.g., peasant leaders and the PRI's allied satellite parties—had ties to the party's statist faction (Rodríguez Araujo, 1979; Molinar Horcasitas, 1991; Bruhn, 1997). Thus, while the erosion of the regime's clientelistic machine undermined the party's total mobilization capacity, it also weakened Salinas' internal rivals, so the political cost of NAFTA was lower for the incumbent technocratic wing than for the regime as a whole. This logic suggests that incumbents have incentives to pursue or resist liberalization depending on how clientelistic capacity is distributed within their ruling coalition. Future research can analyze how clientelism influences the trade policies adopted by incumbents in the developing world.

References

Abbott, F. M. (1995). *Law and Policy of Regional Integration: The NAFTA and Western Hemispheric Integration in the World Trade Organization System*. Martinus Nijhoff, Dordrecht.

Adão, R., Kolesár, M., and Morales, E. (2019). Shift-share designs: Theory and inference. *Quarterly Journal of Economics*, 134(4):1949–2010.

Aguayo Quezada, S. (2001). *La Charola: Una historia de los servicios de inteligencia en México*. Grijalbo.

Albertus, M., Diaz-Cayeros, A., Magaloni, B., and Weingast, B. R. (2016). Authoritarian survival and poverty traps: Land reform in Mexico. *World Development*, 77:154–170.

Alvarado, A. and Minello, N. (1992). Política y elecciones en Tamaulipas: la relación entre lo local y lo nacional. *Estudios Sociológicos*, 10(30):619–647.

Aparicio, R. (2002). La magnitud de la manipulación del voto en las elecciones federales del año 2000. *Perfiles Latinoamericanos*, 10(20):79–99.

Archivo General de la Nación (n.d.). Fondo dirección federal de seguridad, versión pública, fichas de consulta. Mexico City. Repositorio Documental Digital. `https://repositorio.agn.gob.mx`, accessed July 2026.

Ardanaz, M. and Mares, I. (2014). Labor shortages, rural inequality, and democratization. *Comparative Political Studies*, 47(12):1639–1669.

Astill, G. (2020). Average share of production costs comprised by labor (including harvest labor) for selected produce crops. Charts of Note, U.S. Department of Agriculture, Economic Research Service. May 1, 2020.

Atkin, D. (2016). Endogenous skill acquisition and export manufacturing in Mexico. *American Economic Review*, 106(8):2046–2085.

Autor, D., Dorn, D., Hanson, G., and Majlesi, K. (2020). Importing political polarization? The electoral consequences of rising trade exposure. *American Economic Review*, 110(10):3139–3183.

Autor, D. H., Dorn, D., and Hanson, G. H. (2013). The China syndrome: Local labor market effects of import competition in the United States. *American Economic Review*, 103(6):2121–2168.

Babb, S. (2001). *Managing Mexico: Economists from Nationalism to Neoliberalism*. Princeton University Press, Princeton, NJ.

Bagwell, K. and Staiger, R. W. (1999). An economic theory of GATT. *American Economic Review*, 89(1):215–248.

Becker, G. S. (1957). *The Economics of Discrimination*. University of Chicago Press, Chicago.

Benton, A. L. (2012). Bottom-up challenges to national democracy: Mexico's (legal) subnational authoritarian enclaves. *Comparative Politics*, 44(3):253–271.

Bertrand, M., Duflo, E., and Mullainathan, S. (2004). How much should we trust differences-in-differences estimates? *Quarterly Journal of Economics*, 119(1):249–275.

Besedes, T., Kohl, T., and Lake, J. (2020). Phase out tariffs, phase in trade? *Journal of International Economics*, 127:103385.

Black, S. E. and Brainerd, E. (2004). Importing equality? The impact of globalization on gender discrimination. *Industrial and Labor Relations Review*, 57(4):540–559.

Bobonis, G. J., Gertler, P. J., Gonzalez-Navarro, M., and Nichter, S. (2022). Vulnerability and clientelism. *American Economic Review*, 112(11):3627–3659.

Borusyak, K., Hull, P., and Jaravel, X. (2022). Quasi-experimental shift-share research designs. *Review of Economic Studies*, 89(1):181–213.

Broz, J. L., Frieden, J., and Weymouth, S. (2021). Populism in place: The economic geography of the globalization backlash. *International Organization*, 75(2):464–494.

Bruhn, K. (1997). *Taking on Goliath: The Emergence of a New Left Party and the Struggle for Democracy in Mexico*. Pennsylvania State University Press, University Park, PA.

Bueno de Mesquita, B., Smith, A., Siverson, R. M., and Morrow, J. D. (2003). *The Logic of Political Survival*. MIT Press, Cambridge, MA.

Burfisher, M. E., Robinson, S., and Thierfelder, K. (2001). The impact of NAFTA on the United States. *Journal of Economic Perspectives*, 15(1):125–144.

Bustos, S. and Morales-Arilla, J. (2024). Gains from globalization and economic nationalism: AMLO versus NAFTA in the 2006 Mexican elections. *Economics & Politics*, 36(1):202–244.

Calvin, L. and Martin, P. (2010). The U.S. produce industry and labor: Facing the future in a global economy. Technical Report ERR-106, U.S. Department of Agriculture, Economic Research Service.

Cameron, M. A. and Tomlin, B. W. (2000). *The Making of NAFTA: How the Deal Was Done*. Cornell University Press, Ithaca, NY.

CEDE (2024). Estadísticas electorales federales: Diputaciones. `https://cede.izt.uam.mx/index.php/estadisticas-electorales-federales/diputaciones/`. Centro de Estudios de la Democracia y Elecciones, Universidad Autónoma Metropolitana–Iztapalapa. Accessed June 1, 2026.

Centeno, M. A. (1994). *Democracy Within Reason: Technocratic Revolution in Mexico*. Pennsylvania State University Press, University Park, PA.

Che, Y., Lu, Y., Pierce, J. R., Schott, P. K., and Tao, Z. (2022). Did trade liberalization with China influence US elections? *Journal of International Economics*, 139.

Choi, J., Kuziemko, I., Washington, E., and Wright, G. (2024). Local economic and political effects of trade deals: Evidence from NAFTA. *American Economic Review*, 114(6):1540–1575.

Colantone, I. and Stanig, P. (2018a). Global competition and Brexit. *American Political Science Review*, 112(2):201–218.

Colantone, I. and Stanig, P. (2018b). The trade origins of economic nationalism: Import competition and voting behavior in Western Europe. *American Journal of Political Science*, 62(4):936–953.

Cornelius, W. A. (2004). Mobilized voting in the 2000 elections: The changing efficacy of vote buying and coercion in Mexican electoral politics. In Domínguez, J. I. and Lawson, C., editors, *Mexico's Pivotal Democratic Election: Candidates, Voters, and the Presidential Campaign of 2000*. Stanford University Press, Stanford.

de Janvry, A., Gonzalez-Navarro, M., and Sadoulet, E. (2014). Are land reforms granting complete property rights politically risky? Electoral outcomes of Mexico's certification program. *Journal of Development Economics*, 110:216–225.

de Janvry, A., Sadoulet, E., and Gordillo de Anda, G. (1995). NAFTA and Mexico's maize producers. *World Development*, 23(8):1349–1362.

De La O, A. L. (2013). Do conditional cash transfers affect electoral behavior? Evidence from a randomized experiment in Mexico. *American Journal of Political Science*, 57(1):1–14.

Diaz-Cayeros, A., Estevez, F., and Magaloni, B. (2016). *The Political Logic of Poverty Relief: Electoral Strategies and Social Policy in Mexico*. Cambridge University Press.

Diaz-Cayeros, A., Magaloni, B., and Weingast, B. R. (2003). Tragic brilliance: Equilibrium hegemony and democratization in Mexico. Working paper, Hoover Institution.

Dippel, C., Gold, R., Heblich, S., and Pinto, R. (2022). The effect of trade on workers and voters. *The Economic Journal*, 132(641):199–217.

Dixit, A. and Londregan, J. (1996). The determinants of success of special interests in redistributive politics. *The Journal of Politics*, 58(4):1132–1155.

Fergusson, L., Larreguy, H., and Riaño, J. F. (2022). Political competition and state capacity: Evidence from a land allocation program in Mexico. *The Economic Journal*, 132(648):2815–2834.

Finan, F., Olken, B. A., and Pande, R. (2017). The personnel economics of the developing state. In Banerjee, A. V. and Duflo, E., editors, *Handbook of Economic Field Experiments*, volume 2, pages 467–514. North-Holland, Amsterdam.

Finan, F. and Schechter, L. (2012). Vote-buying and reciprocity. *Econometrica*, 80(2):863–881.

Flaherty, T. M. (2023). An economic geography model of tariff attitudes: Evidence from the Mexico peso shock. Working paper, Texas A&M University.

Frey, A. (2019). Cash transfers, clientelism, and political enfranchisement: Evidence from Brazil. *Journal of Public Economics*, 176:1–17.

Frey, A. (2022). Strategic allocation of irrevocable and durable benefits. *American Journal of Political Science*, 66(2):451–467.

Frye, T., Reuter, O. J., and Szakonyi, D. (2014). Political machines at work: Voter mobilization and electoral subversion in the workplace. *World Politics*, 66(2):195–228.

Fujiwara, T. (2015). Voting technology, political responsiveness, and infant health: Evidence from Brazil. *Econometrica*, 83(2):423–464.

Gallardo, R. K. and Sauer, J. (2018). Adoption of labor-saving technologies in agriculture. *Annual Review of Resource Economics*, 10:185–206.

Gibson, E. L. (1997). The populist road to market reform: Policy and electoral coalitions in Mexico and Argentina. *World Politics*, 49(3):339–370.

Graham, J., Larreguy, H., and Querubín, P. (2026). Clientelism: How it works, why it persists and how to break it. NBER Working Paper 34761. Prepared for the *Handbook of Political Economy*.

Greene, K. F. (2007). *Why Dominant Parties Lose: Mexico's Democratization in Comparative Perspective*. Cambridge University Press, New York.

Hai, Z. (2024). Adjusting to obsolescence: Deindustrialization and economic nationalism in colonial South Asia. Working paper, revise and resubmit.

Hakobyan, S. and McLaren, J. (2016). Looking for local labor-market effects of NAFTA. *Review of Economics and Statistics*, 98(4):728–741.

Hanson, G. H. (1997). Increasing returns, trade and the regional structure of wages. *Economic Journal*, 107(440):113–133.

Hanson, G. H. (2007). Globalization, labor income, and poverty in Mexico. In Harrison, A., editor, *Globalization and Poverty*, pages 417–456. University of Chicago Press, Chicago.

Hicken, A. (2011). Clientelism. *Annual Review of Political Science*, 14:289–310.

Hidalgo, E., Hornung, E., and Selaya, P. (2026). NAFTA and drug-related violence in Mexico. *Journal of Development Economics*, 181:103719.

Hiscox, M. J. (2002). *International Trade and Political Conflict: Commerce, Coalitions, and Mobility*. Princeton University Press, Princeton, NJ.

Hufbauer, G. C. and Schott, J. J. (1993). *NAFTA: An Assessment*. Institute for International Economics, Washington, DC, revised edition.

Jensen, J. B., Quinn, D. P., and Weymouth, S. (2017). Winners and losers in international trade: The effects on US presidential voting. *International Organization*, 71(3):423–457.

Kitschelt, H. and Wilkinson, S. I., editors (2007). *Patrons, Clients and Policies: Patterns of Democratic Accountability and Political Competition*. Cambridge University Press, Cambridge.

Larreguy, H., Marshall, J., and Trucco, L. (2018). Breaking clientelism or rewarding incumbents? Evidence from an urban titling program in Mexico. Working paper.

Larreguy, H. A. (2013). Monitoring political brokers: Evidence from clientelistic networks in Mexico. Working paper, Harvard University.

Levy, S. and van Wijnbergen, S. (1992). Maize and the free trade agreement between Mexico and the United States. *World Bank Economic Review*, 6(3):481–502.

Loaeza, S. (1999). *El Partido Acción Nacional: la larga marcha, 1939–1994: oposición leal y partido de protesta*. Fondo de Cultura Económica, México.

Lustig, N. (1998). *Mexico: The Remaking of an Economy*. Brookings Institution, Washington, DC, second edition.

Magaloni, B. (2006). *Voting for Autocracy: Hegemonic Party Survival and its Demise in Mexico*. Cambridge University Press.

Magar, E. (2018). Recent Mexican election vote returns. `https://github.com/emagar/elecRetrns`. Data repository, last revised March 2023. Accessed October 2026.

Maggi, G. and Rodríguez-Clare, A. (1998). The value of trade agreements in the presence of political pressures. *Journal of Political Economy*, 106(3):574–601.

Mansfield, E. D., Milner, H. V., and Pevehouse, J. C. (2008). Democracy, veto players and the depth of regional integration. *World Economy*, 31(1):67–96.

Mares, I. (2015). *From Open Secrets to Secret Voting: Democratic Electoral Reforms and Voter Autonomy*. Cambridge University Press, New York.

Mares, I., Muntean, A., and Petrova, T. (2018). Economic intimidation in contemporary elections: Evidence from Romania and Bulgaria. *Government and Opposition*, 53(3):486–517.

Margalit, Y. (2011). Costly jobs: Trade-related layoffs, government compensation, and voting in U.S. elections. *American Political Science Review*, 105(1):166–188.

Maxfield, S. (1997). *Gatekeepers of Growth: The International Political Economy of Central Banking in Developing Countries*. Princeton University Press, Princeton, NJ.

McCaig, B. and Pavcnik, N. (2018). Export markets and labor allocation in a low-income country. *American Economic Review*, 108(7):1899–1941.

Milner, H. V. (1988). *Resisting Protectionism: Global Industries and the Politics of International Trade*. Princeton University Press, Princeton, NJ.

Molinar Horcasitas, J. (1991). *El tiempo de la legitimidad: elecciones, autoritarismo y democracia en México*. Cal y Arena, México.

Olson, M. (1965). *The Logic of Collective Action: Public Goods and the Theory of Groups*. Harvard University Press, Cambridge, MA.

Pierce, J. R. and Schott, P. K. (2009). A concordance between ten-digit U.S. harmonized system codes and SIC/NAICS product classes and industries. NBER Working Paper 15548, National Bureau of Economic Research.

Pingali, P. (2007). Agricultural mechanization: Adoption patterns and economic impact. In Evenson, R. and Pingali, P., editors, *Handbook of Agricultural Economics*, volume 3, pages 2779–2805. Elsevier.

Przeworski, A. (1985). *Capitalism and Social Democracy*. Cambridge University Press, Cambridge.

Przeworski, A. and Sprague, J. (1986). *Paper Stones: A History of Electoral Socialism*. University of Chicago Press, Chicago.

Rettl, P. (2025). Turning away from the state: Trade shocks and informal insurance in Brazil. Harvard Business School Working Paper 25-038.

Rodríguez Araujo, O. (1979). *La reforma política y los partidos en México*. Siglo XXI Editores, México.

Rodrik, D. (1998). Why do more open economies have bigger governments? *Journal of Political Economy*, 106(5):997–1032.

Rogowski, R. (1989). *Commerce and Coalitions: How Trade Affects Domestic Political Alignments*. Princeton University Press, Princeton, NJ.

Romalis, J. (2007). NAFTA's and CUSFTA's impact on international trade. *Review of Economics and Statistics*, 89(3):416–435.

Sanderson, S. R. W. (1984). *Land Reform in Mexico: 1910–1980*. Academic Press, Orlando, FL.

Scheve, K. and Serlin, T. (2023). The German trade shock and the rise of the neo-welfare state in early twentieth-century Britain. *American Political Science Review*, 117(2):557–574.

Scheve, K. and Serlin, T. (2025). Trains, trade, and transformation: A spatial Rogowski theory of America's nineteenth-century protectionism. *American Journal of Political Science*, 69(3):915–929.

Silva Herzog, J. (1959). *El agrarismo mexicano y la reforma agraria: exposición y crítica*. Fondo de Cultura Económica, Mexico City.

Stokes, S. C. (2005). Perverse accountability: A formal model of machine politics with evidence from Argentina. *American Political Science Review*, 99(3):315–325.

Stokes, S. C., Dunning, T., Nazareno, M., and Brusco, V. (2013). *Brokers, Voters, and Clientelism: The Puzzle of Distributive Politics*. Cambridge University Press, New York.

Stolper, W. F. and Samuelson, P. A. (1941). Protection and real wages. *Review of Economic Studies*, 9(1):58–73.

United Nations (2026). UN Comtrade database. `https://comtradeplus.un.org/`. United Nations Statistics Division. Accessed September 2026.

USDA ERS (2026). Commodity costs and returns. `https://www.ers.usda.gov/data-products/commodity-costs-and-returns/`. U.S. Department of Agriculture, Economic Research Service. Accessed September 25, 2026.

Wood, A. (1994). *North-South Trade, Employment, and Inequality: Changing Fortunes in a Skill-Driven World*. Clarendon Press, Oxford.

Zahniser, S., Angadjivand, S., Hertz, T., Kuberka, L., and Santos, A. (2015). NAFTA at 20: North America's free-trade area and its impact on agriculture. Technical Report WRS-15-01, U.S. Department of Agriculture, Economic Research Service.

Zahniser, S. and Coyle, W. T. (2004). U.S.-Mexico corn trade during the NAFTA era: New twists to an old story. Technical Report FDS-04D-01, U.S. Department of Agriculture, Economic Research Service.

Appendix Contents

Appendix A Evidence from the DFS Surveillance Files 55
Appendix B Manufacturing Analysis: Additional Results 58
Appendix C Manufacturing Analysis: Robustness Tables 59
Appendix D Distribution of the Exposure Variable 72
Appendix E Crop Labor Intensity and Post-NAFTA Agricultural Trade 73
Appendix F Agricultural Analysis: Additional Results 75
Appendix G Agricultural Analysis: Robustness Tables 78
Appendix H Full Regression Specifications 90

A Evidence from the DFS Surveillance Files

This appendix presents evidence from the DFS surveillance files that documents the *satellite* parties' clientelistic practices. The Federal Security Directorate was the federal government's main intelligence agency from its 1947 founding until its dissolution in 1985. In practice, the DFS functioned as the regime's political police, and its activities included the surveillance of activists, unions, and politicians from all political parties—including the PRI and its allied *satellite* parties (Aguayo Quezada, 2001). Throughout its nearly four decades of operation, the DFS compiled an extensive collection of intelligence reports and index cards on individuals and organizations across the political spectrum. Importantly for the purposes of this paper, DFS agents regularly followed candidates during electoral campaigns and reported to the federal government on their activities. After the PRI lost the presidency in 2000, the DFS intelligence files were transferred to Mexico's national archive, the Archivo General de la Nación (AGN), and are now publicly available through the archive's digital repository.

Such intelligence files constitute a valuable primary source documenting the campaigning activities of all political parties in this period.[30] The DFS intelligence files extensively document the *satellite* parties' reliance on handout-based clientelistic mobilization. For instance, one file (AGN-DFS F57/C6-182) reports on a "political-cultural event" (*acto político cultural*) organized by the Authentic Party of the Mexican Revolution (PARM) in Cuilapan de Guerrero, Oaxaca, in the lead-up to the 1985 federal elections. During the event, the party raffled food packages (*despensas*) and livestock among the attendees:

> "Cuilapan de Guerrero, Oax.- This afternoon, in this locality's sports court, a political-cultural event was held, which was organized by the regional committee of the party in question and led by JAIME CASTELLANOS FRANCO, the party's president, with approximately 2,000 people in attendance. This event was organized with the purpose of proselytizing on behalf of the party and as promotion for the upcoming federal elections. The event included a series of dances and **raffles of food packages, three head of cattle, and six goats among those attending the event.** Their leader urged them to stay attentive to the nomination of the party's candidates for federal legislators [. . .]"[31]

[30] The records cited in this appendix are DFS index cards (*fichas de consulta*) held at the Archivo General de la Nación, Mexico City, Fondo DFS, versión pública (hereafter AGN-DFS, cited by each card's archival reference). All translations are my own, and boldface emphasis within the quotations is added. The original Spanish of each quoted passage is transcribed in the accompanying footnote, correcting minor typographical errors in the typescript.

[31] AGN-DFS F57/C6-182 (exp. 020-037-004, 6-Feb-1985). The original Spanish reads: "Cuilapan de Guerrero, Oax.- Hoy por la tarde, en la cancha municipal de esta localidad, se llevó a cabo un acto político cultural, organizado por el comité regional del partido de referencia, encabezados por el Presidente del Partido Prof. JAIME CASTELLANOS FRANCO y con asistencia de aproximadamente 2,000 personas.- Este acto fue con el objeto de hacer labor

Another file (AGN-DFS F15/C5-2218) is the personal card of Alejandro Méndez Avendaño, the Popular Socialist Party (PPS) candidate in an extraordinary mayoral election held in Teziutlán, Puebla, in August 1978. The file states that Méndez Avendaño's campaigning activities included handing out gifts in the town's marginalized neighborhoods:

> "On the 22nd of the current month, he [Méndez Avendaño] visited households and **handed out gifts in neighborhoods on the periphery.**"[32]

Moreover, file AGN-DFS F58/C4-3040 documents the Socialist Workers Party (PST)[33] distributing clothing and food in Mexico City in the aftermath of the September 1985 earthquake. According to the file, the party would only distribute goods to party members and non-members who agreed to join the party:

> "MARIANO LÓPEZ RAMOS, Secretary of Organization of this Party's Central Committee, stated that, because the premises of this Party's Municipal Committee in the Cuauhtémoc borough collapsed, a new operations center will be installed in said borough, at 116 Ecuador Street, where the needs of PST militants will be attended to, supplying clothing and provisions to those who require them, he further added that **persons who are not members of the Party will be attended to on the condition that they join it**; he lastly noted that, given the serious damage suffered by the Central Committee's premises in the Hipódromo Condesa neighborhood, the location where those offices will operate will be determined shortly."[34]

The above examples serve to illustrate the transactional clientelistic strategies used by the *satellite* parties. Table 10 lists several additional DFS files that further document the *satellite* parties' use of clientelism and their links to brokers in marginalized communities.

---

de proselitismo en favor de su partido y como promoción a las próximas elecciones federales habiéndose realizado una serie de bailables y rifas de despensas, tres reses y 6 chivos entre los asistentes a dicho acto.- Su dirigente los exhortó estar pendiente de la nominación de sus candidatos a Legisladores federales [. . .]" The entry ends mid-sentence at the edge of the card.

[32] AGN-DFS F15/C5-2218 (exp. 100-19-1-78, L-66, H-72, 23-Aug-1978). The original Spanish reads: "El 22 actual realizó visitas domiciliarias y entregó obsequios en diferentes colonias de la periferia."

[33] In 1987, the Socialist Workers Party was renamed the Cardenist Front for National Reconstruction (PFCRN), which is how it is referred to throughout the paper.

[34] AGN-DFS F58/C4-3040 (exp. 009-037-018, 26-Sep-1985). The original Spanish reads: "MARIANO LÓPEZ RAMOS, Srio. de Organización del Comité Central de este Partido, manifestó que debido a que el Local del Comité Mpal. de este Partido en la Delegación Política Cuauhtémoc se derrumbó, se instalará un nuevo centro de operaciones en dicha Delegación, en la calle de Ecuador No. 116, donde se atenderán las necesidades de los militantes del PST, que los abastecerá de ropa y víveres a quienes lo requieran, agregando que las personas que no sean del Partido, serán atendidas con la condición de que se integren al mismo, por último señaló que en virtud de los serios daños que sufrió el local del Comité Central en la Col. Hipódromo Condesa, próximamente se determinará el lugar en donde operarán dichas oficinas."

Table 10: Additional DFS Cards Documenting the *Satellite* Parties' Clientelistic Practices

Card	Party	Year	Content
F17/C7-1090	PARM	1963	A PARM veterans' group announces the party will distribute clothing and food packages in Mexico City to party affiliates.
F19/C10-2502	PARM	1963	A leader of the PARM's women's wing announces the distribution of used clothing and food packages in the party's headquarters.
F19/C10-2504	PARM	1963–64	The same leader delivers food packages to the party's female members and announces the party will distribute toys for affiliates' children. She later becomes a PARM congressional candidate.
F4/C7-3135	PPS	1978	Reports that both the PPS and PRI candidates in Teziutlán's 1978 municipal election made house visits and handed out gifts in peripheral neighborhoods.
F30/C9-2289	PST	1982	Personal card of a PST congressional candidate who led a group of squatters (*colonos*).
F58/C8-840	PST	1982	In Xalisco, Nayarit, a PST candidate leads 150 squatters (*colonos*) demanding the expropriation of the invaded plot they occupy, following an agreement with the governor.
F35/C1-2781	PST	1984	In Lázaro Cárdenas, Michoacán, the PST's housing secretary distributes 300 land lots to party members, prompting the intervention of the federal land-regularization agency.
F68/C7-329	PST	1984	Organizational card of a PST-affiliated street-vendors' union operating in Jalisco's low-income neighborhoods.
F58/C5-2325	PST	1984	The PST's Villahermosa committee presses the state housing agency to process the party's applications for housing lots and to deliver building materials.
F43/C7-18	PST	1985	Personal card of a Tabasco PST leader recording a meeting of some 100 street vendors affiliated with the party in protest against a municipal crackdown on street vending.

B Manufacturing Analysis: Additional Results

Table 11: Summary Statistics

	Mean	SD	Min	Max	N Clusters	N Elections
Panel A: Electoral Outcomes (% vote share)						
Pro-Regime Total	67.41	19.96	20.98	99.68	201	8
PRI	61.05	18.56	12.13	99.10	201	8
Satellite Parties	6.36	9.79	0.16	80.95	201	8
Total Opposition	26.84	18.52	0.23	74.06	201	8
PAN (Right)	17.03	13.99	0.03	68.66	201	8
PRD (Left)	9.82	11.49	0.05	56.32	201	8
Panel B: NAFTA Exposure						
NAFTA Index (USD per worker)	3,187.1	6,636.8	22.3	48,606.7	201	8
Panel C: Pre-NAFTA Controls						
Manufacturing Employment Share	0.070	0.074	0.004	0.379	201	8
Population (000s)	394.0	612.2	112.9	8,235.7	201	8
Distance to Border (km)	937.1	500.3	13.4	2,635.3	201	8
Marginalization Index	−0.447	0.856	−2.308	1.660	201	8
Literacy	0.843	0.096	0.497	0.977	201	8
Post-Primary Share	0.213	0.094	0.044	0.447	201	8
Urban Share	0.604	0.245	0.066	1.000	201	8
Indigenous Share	0.076	0.136	0.000	0.608	201	8
Primary Sector Share	0.339	0.204	0.003	0.842	201	8
Secondary Sector Share	0.246	0.099	0.037	0.503	201	8
Tertiary Sector Share	0.381	0.138	0.088	0.701	201	8

Notes: Summary statistics for the 201 clusters observed in the eight legislative elections held between 1979 and 2000. Results for the 1994 election are missing for two clusters (the 4th district of Puebla and the 22nd district of Veracruz).

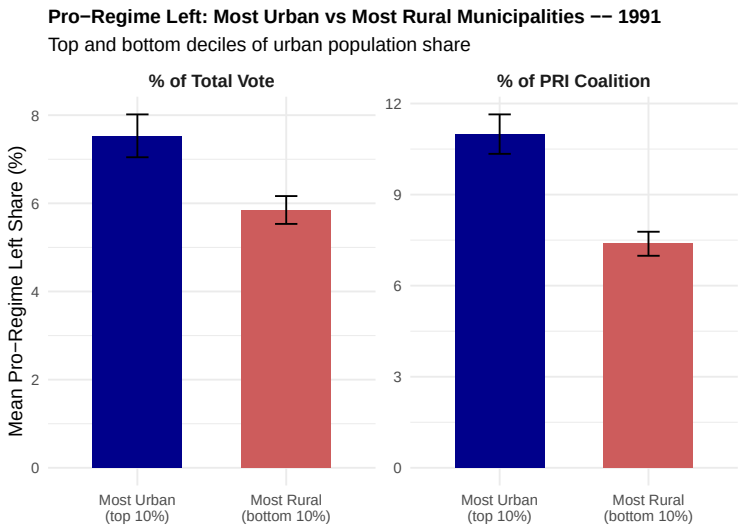


Figure 8: Urban vs. Rural: Satellite-Party Vote Share.

C Manufacturing Analysis: Robustness Tables

This appendix reports the full results for the robustness checks summarized in Section 4.6.

C.1 Municipality-Level Analysis

This appendix presents the municipality-level analysis discussed in Section 4.6. Table 12 displays the municipality-level first stage: a two-period difference-in-differences model of log manufacturing employment in the 1989 and 1999 Industrial Censuses on the NAFTA Index interacted with the post-NAFTA indicator, with and without the full set of demographic and economic controls and with and without population weights. Tables 13 and 14 display the estimates of the municipality-level electoral difference-in-differences models for the four elections held between 1991 and 2000. While Mexico has over 2,400 municipalities, a large proportion of them are scarcely populated. Thus, Table 13 weights each municipality by its pre-NAFTA population, and Table 14 reports the unweighted estimates. The estimates are consistent with the cluster-level analysis.

Table 12: First Stage at the Municipality Level: NAFTA Index and Manufacturing Employment

Dependent Variable:	Log Manufacturing Employment			
	(1)	(2)	(3)	(4)
NAFTA Index (std.) × Post	0.2295***	0.1857***	0.2283***	0.2385***
	(0.0282)	(0.0282)	(0.0559)	(0.0581)
Mfg. Empl. Share × Post	−4.5278***	−3.8234***	−4.1182***	−4.5279***
	(0.3430)	(0.3766)	(0.7522)	(0.8439)
Log Dist. to Border × Post	−0.1508***	−0.1461***	−0.1034***	−0.1032***
	(0.0214)	(0.0258)	(0.0337)	(0.0350)
Demographic & Economic Controls	×	✓	×	✓
Weighted by 1990 Population	✓	✓	×	×
Municipality FE	✓	✓	✓	✓
Year FE	✓	✓	✓	✓
Municipalities	2,151	2,151	2,151	2,151
Periods	2	2	2	2
Observations	4,302	4,302	4,302	4,302

Dependent variable: log(1 + manufacturing employment), measured in the 1989 and 1999 Industrial Censuses. Columns (2) and (4) add the controls described in Section 4.3. Columns (1) and (2) are weighted by 1990 municipal population. Standard errors clustered at the municipality level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

Table 13: Robustness: Municipality-Level Analysis

Dependent Variable:	PRD %	Opp. %	PAN %	PRI %	Pro-Regime	Satellite
	(1)	(2)	(3)	(4)	(5)	(6)
NAFTA Index (std.) × Post	1.448***	1.560**	0.1123	−0.04791	−1.644**	−1.596**
	(0.4523)	(0.6339)	(0.5389)	(0.4607)	(0.6565)	(0.6686)
Demographic & Economic Controls	✓	✓	✓	✓	✓	✓
Municipality FE	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓
Municipalities	2,403	2,403	2,403	2,403	2,403	2,403
Elections	4	4	4	4	4	4
Observations	9,574	9,574	9,574	9,574	9,574	9,574
Mean of dep. var.	17.14	42.32	25.18	46.76	49.83	3.08

Dependent variable: vote share in percentage points. All specifications include the controls described in Section 4.3. Estimates are weighted by 1990 municipal population. Standard errors clustered at the municipality level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

Table 14: Robustness: Municipality-Level Analysis (Unweighted)

Dependent Variable:	PRD %	Opp. %	PAN %	PRI %	Pro-Regime	Satellite
	(1)	(2)	(3)	(4)	(5)	(6)
NAFTA Index (std.) × Post	0.3849*	0.4037*	0.01880	−0.1556	−0.5927***	−0.4372***
	(0.2268)	(0.2133)	(0.3165)	(0.1758)	(0.2000)	(0.1466)
Demographic & Economic Controls	✓	✓	✓	✓	✓	✓
Municipality FE	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓
Municipalities	2,403	2,403	2,403	2,403	2,403	2,403
Elections	4	4	4	4	4	4
Observations	9,574	9,574	9,574	9,574	9,574	9,574
Mean of dep. var.	16.91	33.01	16.10	57.20	60.12	2.92

Dependent variable: vote share in percentage points. All specifications include the controls described in Section 4.3. Standard errors clustered at the municipality level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

C.2 State-by-Year Fixed Effects

Tables 15 and 16 add state-by-year fixed effects to the population-weighted and unweighted municipality-level models. In these models, identification comes from within-state variation in exposure.

Table 15: Robustness: Municipality-Level Analysis with State-by-Year Fixed Effects (Population-Weighted)

Dependent Variable:	PRD %	Opp. %	PAN %	PRI %	Pro-Regime	Satellite
	(1)	(2)	(3)	(4)	(5)	(6)
NAFTA Index (std.) × Post	0.5178**	1.129***	0.6114*	−0.4035	−1.389***	−0.9854***
	(0.2516)	(0.3286)	(0.3334)	(0.2739)	(0.3154)	(0.3032)
Demographic & Economic Controls	✓	✓	✓	✓	✓	✓
Municipality FE	✓	✓	✓	✓	✓	✓
State × Year FE	✓	✓	✓	✓	✓	✓
Municipalities	2,403	2,403	2,403	2,403	2,403	2,403
Elections	4	4	4	4	4	4
Observations	9,574	9,574	9,574	9,574	9,574	9,574
Mean of dep. var.	17.14	42.32	25.18	46.76	49.83	3.08

Dependent variable: vote share in percentage points. Year fixed effects are replaced by state-by-year fixed effects. All specifications include the controls described in Section 4.3. Estimates are weighted by 1990 municipal population. Standard errors clustered at the municipality level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

Table 16: Robustness: Municipality-Level Analysis with State-by-Year Fixed Effects (Unweighted)

Dependent Variable:	PRD %	Opp. %	PAN %	PRI %	Pro-Regime	Satellite
	(1)	(2)	(3)	(4)	(5)	(6)
NAFTA Index (std.) × Post	0.2757**	0.3706	0.09490	−0.1775	−0.5538***	−0.3764***
	(0.1209)	(0.2285)	(0.2653)	(0.2174)	(0.1898)	(0.1215)
Demographic & Economic Controls	✓	✓	✓	✓	✓	✓
Municipality FE	✓	✓	✓	✓	✓	✓
State × Year FE	✓	✓	✓	✓	✓	✓
Municipalities	2,403	2,403	2,403	2,403	2,403	2,403
Elections	4	4	4	4	4	4
Observations	9,574	9,574	9,574	9,574	9,574	9,574
Mean of dep. var.	16.91	33.01	16.10	57.20	60.12	2.92

Dependent variable: vote share in percentage points. Year fixed effects are replaced by state-by-year fixed effects. All specifications include the controls described in Section 4.3. Standard errors clustered at the municipality level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

C.3 Spatial Standard Errors

As a robustness check, I re-estimate the electoral specifications with the full set of controls using Conley spatial-HAC standard errors at distance cutoffs of 100, 250, and 500 km.

Table 17: NAFTA Exposure and Vote Share: Spatial (Conley) Standard Errors — Full Controls

Dependent Variable:	PRD %	Opp. %	PAN %	PRI %	Pro-Regime	Satellite
	(1)	(2)	(3)	(4)	(5)	(6)
Panel A: Conley cutoff = 100 km						
NAFTA Index (std.) × Post	2.010*	2.379**	0.3695	−0.1788	−2.787**	−2.608**
	(1.053)	(0.9763)	(1.293)	(1.241)	(1.102)	(1.124)
Panel B: Conley cutoff = 250 km						
NAFTA Index (std.) × Post	2.010*	2.379***	0.3695	−0.1788	−2.787***	−2.608**
	(1.030)	(0.8530)	(0.8977)	(0.8015)	(0.8136)	(1.162)
Panel C: Conley cutoff = 500 km						
NAFTA Index (std.) × Post	2.010	2.379***	0.3695	−0.1788	−2.787***	−2.608*
	(1.357)	(0.8404)	(0.8556)	(1.020)	(0.9356)	(1.566)
Demographic & Economic Controls	✓	✓	✓	✓	✓	✓
Cluster FE	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓
Clusters	201	201	201	201	201	201
Elections	8	8	8	8	8	8
Observations	1,606	1,606	1,606	1,606	1,606	1,606

Each panel reports Conley spatial-HAC standard errors with the indicated distance cutoff; point estimates are identical across panels. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

C.4 Influential Clusters

The following tables show that the manufacturing results are robust to dropping the 10, 15, and 20 most extreme outlier clusters after controlling for the cluster's manufacturing employment share and distance to the Mexico-US border.

Table 18: Robustness: Dropping the Ten Highest-Leverage Clusters

Dependent Variable:	PRD %	Opp. %	PAN %	PRI %	Pro-Regime	Satellite
	(1)	(2)	(3)	(4)	(5)	(6)
NAFTA Index (std.) × Post	5.261**	4.701*	−0.5594	−2.025	−5.757**	−3.732**
	(2.527)	(2.394)	(2.144)	(2.098)	(2.507)	(1.862)
Demographic & Economic Controls	✓	✓	✓	✓	✓	✓
Cluster FE	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓
Clusters	191	191	191	191	191	191
Elections	8	8	8	8	8	8
Observations	1,526	1,526	1,526	1,526	1,526	1,526
Mean of dep. var.	10.11	26.37	16.27	61.43	67.86	6.43

The sample excludes the 10 clusters with the largest standardized residuals of the NAFTA index. Standard errors clustered at the cluster level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

Table 19: Robustness: Dropping the Fifteen Highest-Leverage Clusters

Dependent Variable:	PRD %	Opp. %	PAN %	PRI %	Pro-Regime	Satellite
	(1)	(2)	(3)	(4)	(5)	(6)
NAFTA Index (std.) × Post	7.598***	5.312**	−2.287	−2.750	−6.684***	−3.935*
	(2.742)	(2.389)	(2.421)	(2.115)	(2.466)	(2.056)
Demographic & Economic Controls	✓	✓	✓	✓	✓	✓
Cluster FE	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓
Clusters	186	186	186	186	186	186
Elections	8	8	8	8	8	8
Observations	1,486	1,486	1,486	1,486	1,486	1,486
Mean of dep. var.	10.13	26.12	15.99	61.65	68.11	6.46

The sample excludes the 15 clusters with the largest standardized residuals of the NAFTA index. Standard errors clustered at the cluster level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

Table 20: Robustness: Dropping the Twenty Highest-Leverage Clusters

Dependent Variable:	PRD %	Opp. %	PAN %	PRI %	Pro-Regime	Satellite
	(1)	(2)	(3)	(4)	(5)	(6)
NAFTA Index (std.) × Post	10.48^{***}	5.432^{**}	-5.051^{**}	-2.797	-7.798^{***}	-5.002^{**}
	(2.748)	(2.602)	(2.422)	(2.505)	(2.723)	(2.094)
Demographic & Economic Controls	✓	✓	✓	✓	✓	✓
Cluster FE	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓
Clusters	181	181	181	181	181	181
Elections	8	8	8	8	8	8
Observations	1,446	1,446	1,446	1,446	1,446	1,446
Mean of dep. var.	10.14	25.99	15.85	61.80	68.25	6.45

The sample excludes the 20 clusters with the largest standardized residuals of the NAFTA index. Standard errors clustered at the cluster level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

C.5 Exposure-Robust Inference

Table 21 reports standard errors and confidence sets that account for the shift-share structure of the NAFTA Index.

Table 21: Exposure-Robust Inference: Manufacturing Results with Full Controls

Dependent Variable:	PRD %	Opp. %	PAN %	PRI %	Pro-Regime	Satellite
	(1)	(2)	(3)	(4)	(5)	(6)
NAFTA Index (std.) × Post	2.010**	2.379**	0.3695	−0.1788	−2.787***	−2.608**
Clustered SE	(0.9364)	(1.016)	(1.087)	(1.005)	(1.063)	(1.114)
AKM SE	[1.112]	[0.9645]	[1.216]	[0.7471]	[0.9569]	[0.6332]
BHJ SE	{1.439}	{1.040}	{1.248}	{0.7218}	{1.100}	{1.010}
AKM0 95% set	[0.05, 6.84]	[−0.43, 4.92]	[−4.91, 2.51]	[−2.38, 1.76]	[−5.31, −0.01]	[−4.12, −0.58]
AKM0 p-value	0.045	0.072	0.786	0.826	0.050	0.031
Demographic & Economic Controls	✓	✓	✓	✓	✓	✓
Cluster FE	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓
Clusters	201	201	201	201	201	201
Elections	8	8	8	8	8	8
Observations	1,606	1,606	1,606	1,606	1,606	1,606
Mean of dep. var.	9.82	26.84	17.03	61.05	67.41	6.36

Dependent variable: vote share in percentage points. All specifications include the controls described in Section 4.3, each interacted with the post-NAFTA indicator. Clustered standard errors in parentheses; AKM (Adão et al., 2019) in brackets; BHJ (Borusyak et al., 2022) in braces; AKM0 = null-imposed 95 percent confidence set and p-value. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$ (clustered).

C.6 Migration

I evaluate the association between exposure to the post-NAFTA export shock and changes in migration patterns. I use the microdata from the 1990 and 2000 censuses to estimate each cluster's share of migrants. I then estimate a two-period difference-in-differences model where the share of migrant population is the dependent variable. Table 22 shows that the NAFTA Index is associated with increased migration.

Table 22: NAFTA Exposure and Immigration

Dependent Variable:	Immigrant Population Share		
	(1)	(2)	(3)
NAFTA Index (std.) × Post	0.0079***	0.0069**	0.0069**
	(0.0028)	(0.0028)	(0.0030)
Manufacturing Share × Post	✓	✓	✓
Demographic & Economic Controls	×	✓	✓
Cluster & Year FE	✓	✓	✓
SE Clustered by	Cluster	Cluster	State
Observations	402	402	402

Dependent variable: share of the cluster's population born in a different state or abroad. Standard errors clustered at the cluster (columns 1–2) or state (column 3) level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

To evaluate whether increased migration explains the political shifts in high-exposure regions, I control for the interaction of $\Delta_{1990-2000}$Migrant Pop. × After$_t$. In other words, I allow clusters to follow different trajectories based on the magnitude of the post-NAFTA growth in migration. Table 23 displays the corresponding estimates of a set of difference-in-differences models that include this control. The results remain consistent.

Table 23: Robustness: Migration Control

Dependent Variable:	PRD %	Opp. %	PAN %	PRI %	Pro-Regime	Satellite
	(1)	(2)	(3)	(4)	(5)	(6)
NAFTA Index (std.) × Post	2.019**	2.504**	0.4849	−0.3848	−2.925***	−2.540**
	(0.9614)	(1.012)	(1.054)	(1.050)	(1.066)	(1.164)
Demographic & Economic Controls	✓	✓	✓	✓	✓	✓
Cluster FE	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓
Clusters	201	201	201	201	201	201
Elections	8	8	8	8	8	8
Observations	1,606	1,606	1,606	1,606	1,606	1,606
Mean of dep. var.	9.82	26.84	17.03	61.05	67.41	6.36

All specifications additionally control for the 1990–2000 change in the cluster's immigrant population share interacted with the post-NAFTA indicator. Standard errors clustered at the cluster level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

C.7 Inequality

Similarly, I use the 1990 and 2000 census microdata to evaluate whether NAFTA exposure increased within-cluster inequality. I use each cluster's income microdata to estimate the cluster's Gini Index in 1990 and 2000. I then estimate a two-period difference-in-differences model where the cluster-level Gini Index is the dependent variable. Table 24 shows that the NAFTA Index is not significantly associated with changes in local inequality. Moreover, Table 25 shows that dynamically controlling for $\Delta_{1990-2000}\text{Gini}_c \times \text{After}_t$ barely affects the magnitude and significance of the estimates.

Table 24: NAFTA Exposure and the Change in Income Inequality

Dependent Variable:	Δ Income Gini (1990–2000)		
	(1)	(2)	(3)
NAFTA Index (std.)	0.0062	0.0039	0.0039
	(0.0045)	(0.0053)	(0.0053)
Manufacturing-Share Control	✓	✓	✓
Demographic & Economic Controls	×	✓	✓
SE Clustered by	Cluster	Cluster	State
Observations	201	201	201

Dependent variable: 1990–2000 change in the cluster's income Gini index. Standard errors clustered at the cluster (columns 1–2) or state (column 3) level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

Table 25: Robustness: Inequality Control

Dependent Variable:	PRD %	Opp. %	PAN %	PRI %	Pro-Regime	Satellite
	(1)	(2)	(3)	(4)	(5)	(6)
NAFTA Index (std.) × Post	2.036**	2.346**	0.3100	−0.1345	−2.781***	−2.646**
	(0.9314)	(1.029)	(1.094)	(0.9930)	(1.067)	(1.094)
Demographic & Economic Controls	✓	✓	✓	✓	✓	✓
Cluster FE	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓
Clusters	201	201	201	201	201	201
Elections	8	8	8	8	8	8
Observations	1,606	1,606	1,606	1,606	1,606	1,606
Mean of dep. var.	9.82	26.84	17.03	61.05	67.41	6.36

All specifications additionally control for the 1990–2000 change in the cluster's income Gini index interacted with the post-NAFTA indicator. Standard errors clustered at the cluster level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

C.8 Crime

I evaluate the association between exposure to the post-NAFTA export shock and changes in violent crime. I use INEGI's vital statistics on murders by municipality of occurrence to compute each cluster's murder rate per 100,000 inhabitants in 1990 and 2000. I then estimate a two-period difference-in-differences model where the murder rate is the dependent variable. Table 26 shows that the NAFTA Index is not significantly associated with the post-NAFTA change in murder rates.

Table 26: NAFTA Exposure and Crime

Dependent Variable:	Homicide Rate (per 100,000)		
	(1)	(2)	(3)
NAFTA Index (std.) × Post	0.5499	−0.9414	−0.9414
	(1.3720)	(1.3683)	(1.3956)
Manufacturing Share × Post	✓	✓	✓
Demographic & Economic Controls	×	✓	✓
Cluster & Year FE	✓	✓	✓
SE Clustered by	Cluster	Cluster	State
Observations	402	402	402

Dependent variable: murders per 100,000 inhabitants. Standard errors clustered at the cluster (columns 1–2) or state (column 3) level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

To evaluate whether changes in violence explain the political shifts in high-exposure regions, I control for the interaction of $\Delta_{1990-2000}$Murder Rate × After$_t$. In other words, I allow clusters to follow different trajectories based on the magnitude of the post-NAFTA change in their murder rate. Table 27 displays the corresponding estimates of a set of difference-in-differences models that include this control. The results remain consistent.

Table 27: Robustness: Crime Control

Dependent Variable:	PRD %	Opp. %	PAN %	PRI %	Pro-Regime	Satellite
	(1)	(2)	(3)	(4)	(5)	(6)
NAFTA Index (std.) × Post	1.950**	2.358**	0.4079	−0.3008	−2.771***	−2.470**
	(0.9310)	(1.008)	(1.104)	(0.9574)	(1.056)	(0.9965)
Demographic & Economic Controls	✓	✓	✓	✓	✓	✓
Cluster FE	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓
Clusters	201	201	201	201	201	201
Elections	8	8	8	8	8	8
Observations	1,606	1,606	1,606	1,606	1,606	1,606
Mean of dep. var.	9.82	26.84	17.03	61.05	67.41	6.36

All specifications additionally control for the 1990–2000 change in the cluster's murder rate per 100,000 inhabitants interacted with the post-NAFTA indicator. Standard errors clustered at the cluster level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

C.9 Timing of the Export Shock

This table presents the estimates of difference-in-differences models that use an exposure variable that uses the industry-level 1991–1994 change in exports (as opposed to the 1991–2000 shifts used in the core specification).

Table 28: Manufacturing Analysis: Early Shock (1991–1994 Export Shifts)

Dependent Variable:	PRD %	Opp. %	PAN %	PRI %	Pro-Regime	Satellite
	(1)	(2)	(3)	(4)	(5)	(6)
Panel A: Basic controls						
Early NAFTA Index, 1991–94 (std.) × Post	2.489**	2.429*	−0.05982	−0.8879	−2.932**	−2.044
	(1.178)	(1.250)	(1.512)	(1.173)	(1.424)	(1.350)
Panel B: Full controls						
Early NAFTA Index, 1991–94 (std.) × Post	2.255**	2.669**	0.4132	−0.9070	−3.217***	−2.310*
	(1.031)	(1.137)	(1.407)	(1.053)	(1.226)	(1.302)
Cluster FE	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓
Clusters	201	201	201	201	201	201
Elections	8	8	8	8	8	8
Observations	1,606	1,606	1,606	1,606	1,606	1,606
Mean of dep. var.	9.82	26.84	17.03	61.05	67.41	6.36

Dependent variable: vote share in percentage points. Treatment: the early NAFTA index, constructed with the 1991–1994 change in Mexican exports to the US instead of the 1991–2000 change. Panel B adds the controls described in Section 4.3. Standard errors clustered at the cluster level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

This table presents the estimates of two-way fixed effects models that use a time-varying exposure variable:

$$\text{NAFTA Index}_{c,t} = \sum_{j} \frac{L_{c,j}}{\text{Workers}_{c}} \times \frac{\text{Exports}_{j,t}}{L_{j}^{\text{nat}}}$$

Where $\text{Exports}_{j,t}$ is the value of Mexican exports to the US of industry j in year t.

Table 29: Manufacturing Analysis: Time-Varying NAFTA Index

Dependent Variable:	Pro-Regime (1)	PRI % (2)	Satellite (3)	Opp. % (4)	PRD % (5)	PAN % (6)
NAFTA Index, time-varying (std.)	-2.668^{***}	-0.613	-2.055^{***}	2.468^{***}	1.403^{**}	1.064
	(0.771)	(0.725)	(0.677)	(0.819)	(0.608)	(0.975)
Mfg. Empl. Share & Dist. to Border × Year	✓	✓	✓	✓	✓	✓
Demographic & Economic Controls × Year	✓	✓	✓	✓	✓	✓
Cluster FE	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓
Clusters			201			
Observations			802			

Two-way fixed effects models pooling the 1991, 1994, 1997, and 2000 elections. In each election year, the index combines each cluster's 1989 industry employment shares with the value of Mexican exports to the US in each industry in that year; it is scaled by the standard deviation of the 1991–2000 NAFTA Index. Standard errors clustered at the cluster level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

D Distribution of the Exposure Variable

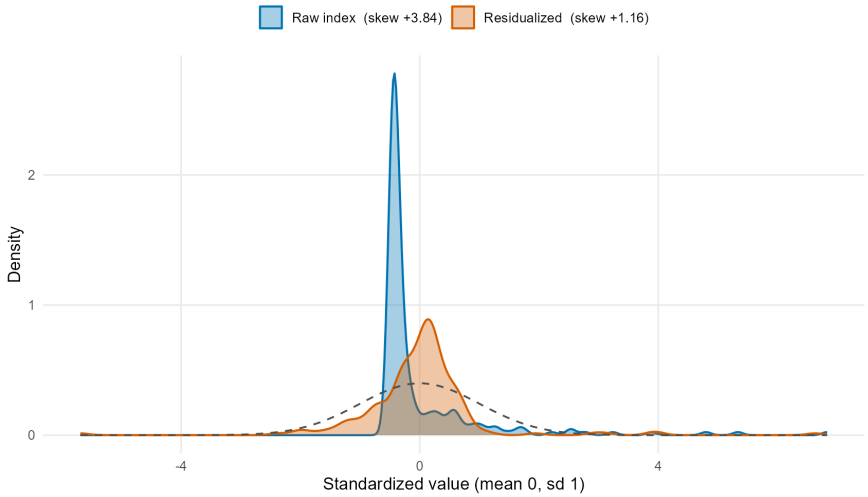


Figure 9: Distribution of the NAFTA Index, raw versus residualized. The raw NAFTA Index is heavily right-skewed, whereas the residualized variation—i.e., the index after conditioning on manufacturing employment share and distance to the Mexico-US border—is much more symmetric. Both series are standardized to have mean zero and unit variance.

E Crop Labor Intensity and Post-NAFTA Agricultural Trade

Table 30: Crop Labor Intensity and Post-NAFTA Agricultural Trade Shifts

Dependent Variable:	Net Exports
	(1)
Labor Cost Share (std.)	117.3**
	(40.60)
Crops	13
Mean of dep. var.	−64.99

Dependent variable: 1991–2000 change in Mexico's net agricultural exports to the US (millions of USD). The sample includes the 13 crops with USDA labor cost data. Robust standard errors in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

Table 31: Crop-Level Data: Labor Cost Share and Post-NAFTA Trade Shift

Crop	Labor Cost Share	Net Exports	Crop	Labor Cost Share	Net Exports
Chili pepper[b]	0.28	221.4	Sunflower		−1.0
Tomato	0.43	123.4	Carrot	0.27	−1.1
Coffee		91.1	Coconut		−1.1
Mango		29.1	Oat	0.13	−2.9
Strawberry		24.7	Cowpea		−2.9
Citrus		22.4	Cassava		−3.0
Cabbage		20.1	Chickpea		−3.0
Avocado		20.0	Olive		−5.2
Onion		12.7	Alfalfa		−5.3
Watermelon		8.9	Pasture grasses		−6.5
Dry bean		6.0	Rapeseed		−7.2
Oil palm		0.5	Potato	0.19	−15.9
Cashew		0.1	Sesame		−16.2
Sugar cane		0.0	Peanut	0.16	−16.3
Flax		0.0	Barley	0.10	−23.0
Sugar beet		0.0	Cotton	0.13	−31.8
Sweet potato		−0.1	Banana		−49.4
Buckwheat		−0.1	Rice	0.12	−76.7
Rye		−0.1	Sorghum	0.12	−92.8
Dry pea		−0.2	Wheat	0.10	−163.7
Taro		−0.3	Soybean	0.08	−360.8
Pearl millet		−0.6	Maize	0.09	−404.8
Tea		−0.7			

Notes: Crops are sorted by the 1991–2000 change in Mexico's net agricultural exports to the US (millions of USD). Labor cost share is labor's share of production costs, from the USDA Economic Research Service (USDA ERS, 2026; Astill, 2020). [b] Not included in the NAFTA Agricultural Index, since GAEZ provides no suitability estimates for this crop.

F Agricultural Analysis: Additional Results

Table 32: NAFTA Exposure and Paid Agricultural Employment: Rural Clusters

Dependent Variable:	$\log(1 + \text{Paid Permanent Ag. Workers})$
	1991 vs. 2007
	(1)
NAFTA Agricultural Index (std.) $\times$ Post	-0.0007497
	(0.07445)
Climate & Altitude Controls	✓
Observations	156
Clusters	78

Dependent variable: log(1 + paid permanent agricultural workers), measured in the 1991 and 2007 Agricultural Censuses. All specifications include the controls described in Section 5. Standard errors clustered at the cluster level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

Table 33: NAFTA Exposure, Paid Agricultural Employment, and Vote Shares: Alternative Rural-Share Thresholds

Dependent Variable:	Log Paid Ag. Workers	Pro-Regime	PRI %	Satellite	Opp. %	PRD %	PAN %
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
Panel A: Rural Share $>$ 40%							
NAFTA Ag. Index (std.) $\times$ Post	0.09726**	−1.285***	−1.665***	0.3802	0.6882*	1.524***	−0.8355***
	(0.03788)	(0.4281)	(0.4762)	(0.2491)	(0.3724)	(0.3070)	(0.3057)
Observations	3,238	6,453	6,453	6,453	6,453	6,453	6,453
Municipalities	1,619	1,619	1,619	1,619	1,619	1,619	1,619
Panel B: Rural Share $>$ 50% (Main Sample)							
NAFTA Ag. Index (std.) $\times$ Post	0.1168***	−1.810***	−2.213***	0.4030	1.172***	1.615***	−0.4433
	(0.04366)	(0.4604)	(0.5242)	(0.2849)	(0.3984)	(0.3271)	(0.3214)
Observations	2,906	5,795	5,795	5,795	5,795	5,795	5,795
Municipalities	1,453	1,453	1,453	1,453	1,453	1,453	1,453
Panel C: Rural Share $>$ 60%							
NAFTA Ag. Index (std.) $\times$ Post	0.1501***	−2.318***	−2.852***	0.5334	1.645***	1.747***	−0.1018
	(0.04895)	(0.5032)	(0.5733)	(0.3319)	(0.4311)	(0.3576)	(0.3532)
Observations	2,572	5,124	5,124	5,124	5,124	5,124	5,124
Municipalities	1,286	1,286	1,286	1,286	1,286	1,286	1,286
Climate & Altitude Controls	✓	✓	✓	✓	✓	✓	✓

Each panel restricts the sample to the municipalities whose share of the population living in rural localities in 1990 exceeds the stated threshold. Dependent variables: column (1), log(1 + paid permanent agricultural workers), measured in the 1991 and 2007 Agricultural Censuses; columns (2)–(7), vote share in percentage points. All specifications include the controls described in Section 5. Standard errors clustered at the municipality level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

Table 34: NAFTA Exposure and Vote Shares: *Ejido* Land-Share Interaction

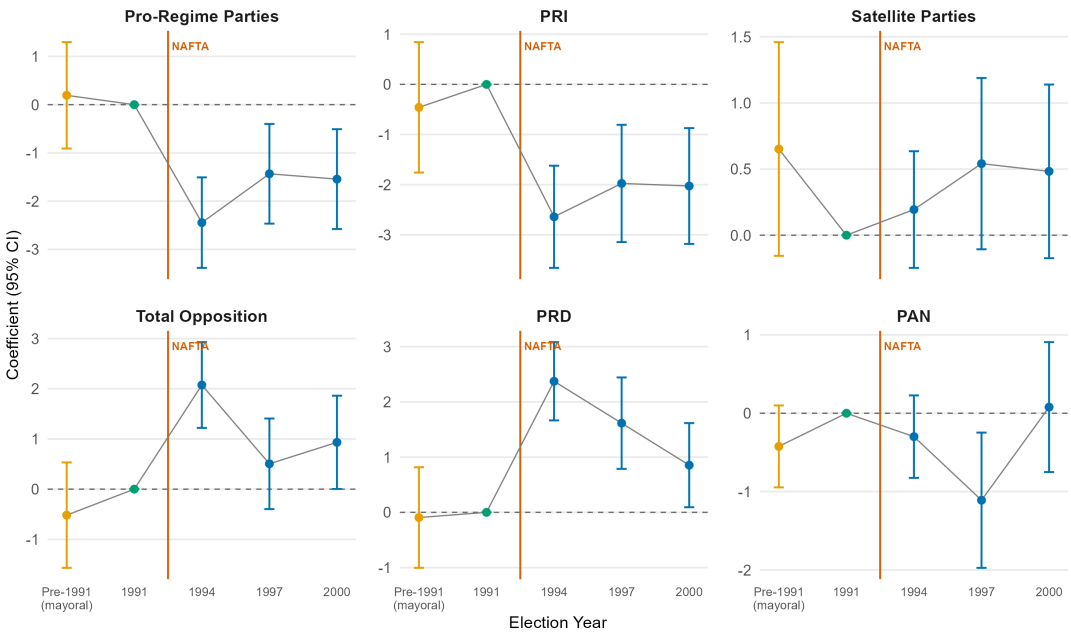
Dependent Variable:	Pro-Regime (1)	PRI % (2)	Satellite (3)	Opp. % (4)	PRD % (5)	PAN % (6)
NAFTA Agricultural Index (std.) × Post	0.06836	−1.170	1.239**	−0.3890	0.4609	−0.8499
	(0.7201)	(0.9212)	(0.5603)	(0.6053)	(0.4618)	(0.5353)
NAFTA Agricultural Index (std.) × Post × *Ejido* Land Share (0–1)	−3.335**	−1.275	−2.059**	3.123**	1.825	1.298
	(1.541)	(1.715)	(0.9281)	(1.332)	(1.121)	(0.8799)
Effect of NAFTA Agricultural Index (std.) × Post at:						
Ejido Land Share: Mean − 1 SD (0.13)	−0.3779	−1.341*	0.9631**	0.02893	0.7051*	−0.6762
	(0.5818)	(0.7507)	(0.4557)	(0.4873)	(0.3624)	(0.4467)
Ejido Land Share: Mean + 1 SD (0.85)	−2.757***	−2.251**	−0.5059	2.257***	2.007***	0.2500
	(0.9023)	(0.9060)	(0.4020)	(0.7892)	(0.6739)	(0.4509)
Climate & Altitude Controls	✓	✓	✓	✓	✓	✓
Observations	5,771	5,771	5,771	5,771	5,771	5,771
Municipalities	1,447	1,447	1,447	1,447	1,447	1,447
Elections	4	4	4	4	4	4

Dependent variable: vote share in percentage points. All specifications include the controls described in Section 5. All controls are also interacted with the *ejido* land share. Standard errors clustered at the municipality level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

G Agricultural Analysis: Robustness Tables

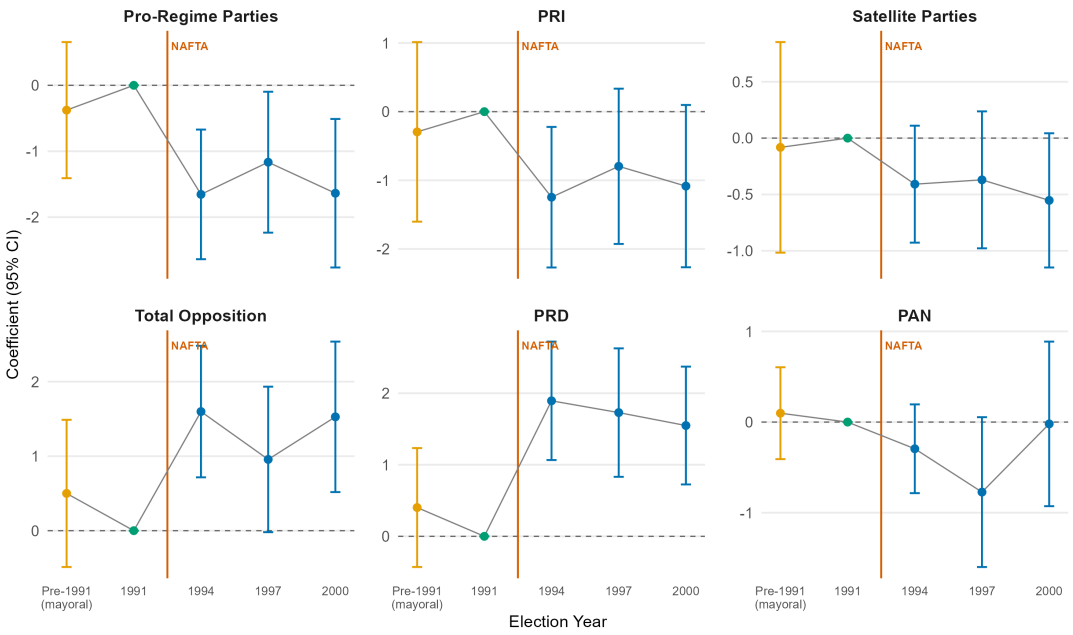
This appendix reports the full results for the robustness checks summarized in Section 5.6.

G.1 Pre-treatment Trends



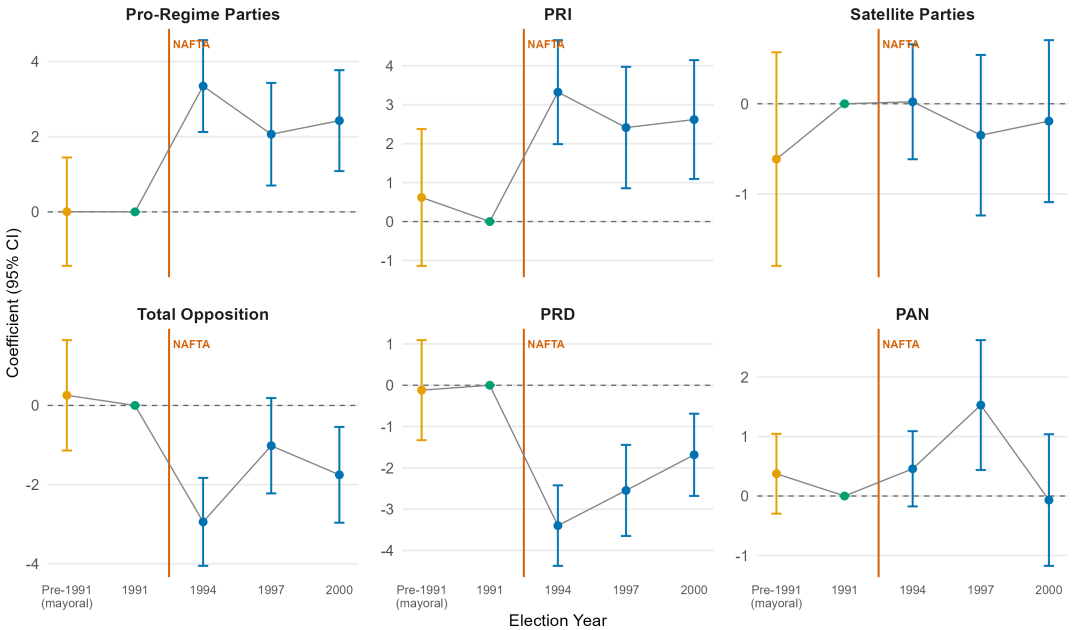
Reference: 1991. Orange = pre-treatment placebo (last mayoral election before 1991). Blue = post-NAFTA (1994–2000). Vertical line = NAFTA (Jan 1994).

Figure 10: Event Study with a Pre-NAFTA Mayoral Election: NAFTA Agricultural Index. Reference: 1991. The first period is each municipality's last mayoral election before 1991. Vertical line = NAFTA (Jan 1994). 95% CI.



Reference: 1991. Orange = pre-treatment placebo (last mayoral election before 1991). Blue = post-NAFTA (1994–2000). Vertical line = NAFTA (Jan 1994).

Figure 11: Event Study with a Pre-NAFTA Mayoral Election: Export Index (Joint Model). Reference: 1991. The first period is each municipality's last mayoral election before 1991. Vertical line = NAFTA (Jan 1994). 95% CI.



Reference: 1991. Orange = pre-treatment placebo (last mayoral election before 1991). Blue = post-NAFTA (1994–2000). Vertical line = NAFTA (Jan 1994).

Figure 12: Event Study with a Pre-NAFTA Mayoral Election: Import Index (Joint Model). Reference: 1991. The first period is each municipality's last mayoral election before 1991. Vertical line = NAFTA (Jan 1994). 95% CI.

G.2 State-Level Trends

This table presents estimates of difference-in-differences models that include state-by-year fixed effects, such that identification comes from within-state variation in exposure.

Table 35: NAFTA Exposure and Vote Shares: Rural Municipalities (State × Year Fixed Effects)

Dependent Variable:	Pro-Regime (1)	PRI % (2)	Satellite (3)	Opp. % (4)	PRD % (5)	PAN % (6)
NAFTA Agricultural Index (std.) × Post	-1.665^{***}	-2.253^{***}	0.5875^{*}	1.068^{**}	0.4126	0.6552^{*}
	(0.5260)	(0.5726)	(0.3210)	(0.4759)	(0.4033)	(0.3462)
Climate & Altitude Controls	✓	✓	✓	✓	✓	✓
State × Year FE	✓	✓	✓	✓	✓	✓
Observations	5,795	5,795	5,795	5,795	5,795	5,795
Municipalities	1,453	1,453	1,453	1,453	1,453	1,453
Elections	4	4	4	4	4	4
Mean of dep. var.	63.13	60.18	2.95	29.83	17.09	12.75

Dependent variable: vote share in percentage points. All specifications include the controls described in Section 5. Year fixed effects are replaced by state-by-year fixed effects. Standard errors clustered at the municipality level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

G.3 Rural Population-Weighted Estimates

Table 36: NAFTA Exposure and Vote Shares: Rural Municipalities (Weighted by Rural Population)

Dependent Variable:	Pro-Regime (1)	PRI % (2)	Satellite (3)	Opp. % (4)	PRD % (5)	PAN % (6)
NAFTA Agricultural Index (std.) × Post	−1.161*	−1.155*	−0.005967	0.8666*	1.061***	−0.1942
	(0.6056)	(0.6163)	(0.2586)	(0.5214)	(0.4044)	(0.4339)
Climate & Altitude Controls	✓	✓	✓	✓	✓	✓
Observations	5,795	5,795	5,795	5,795	5,795	5,795
Municipalities	1,453	1,453	1,453	1,453	1,453	1,453
Elections	4	4	4	4	4	4
Mean of dep. var.	63.13	60.18	2.95	29.83	17.09	12.75

Dependent variable: vote share in percentage points. All specifications include the controls described in Section 5. Estimates are weighted by pre-NAFTA rural population. Standard errors clustered at the municipality level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

G.4 Spatial Standard Errors

As a robustness check, I re-estimate the electoral specifications with the full set of controls using Conley spatial-HAC standard errors at distance cutoffs of 100, 250, and 500 km. The models in Table 38 include state-by-year fixed effects.

Table 37: NAFTA Exposure and Vote Shares: Rural Municipalities, Spatial (Conley) Standard Errors

Dependent Variable:	Pro-Regime	PRI %	Satellite	Opp. %	PRD %	PAN %
	(1)	(2)	(3)	(4)	(5)	(6)
Panel A: Conley cutoff = 100 km						
NAFTA Agricultural Index (std.) × Post	−1.810**	−2.213**	0.4030	1.172*	1.615***	−0.4433
	(0.8912)	(1.032)	(0.4903)	(0.6992)	(0.5271)	(0.7006)
Panel B: Conley cutoff = 250 km						
NAFTA Agricultural Index (std.) × Post	−1.810	−2.213	0.4030	1.172	1.615***	−0.4433
	(1.207)	(1.421)	(0.4169)	(0.9255)	(0.5556)	(1.069)
Panel C: Conley cutoff = 500 km						
NAFTA Agricultural Index (std.) × Post	−1.810	−2.213	0.4030	1.172	1.615***	−0.4433
	(1.184)	(1.482)	(0.4593)	(1.072)	(0.4047)	(1.050)
Climate & Altitude Controls	✓	✓	✓	✓	✓	✓
Municipality FE	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓
Observations	5,795	5,795	5,795	5,795	5,795	5,795
Municipalities	1,453	1,453	1,453	1,453	1,453	1,453
Elections	4	4	4	4	4	4

Each panel reports Conley spatial-HAC standard errors with the indicated distance cutoff; point estimates are identical across panels. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

Table 38: NAFTA Exposure and Vote Shares: Rural Municipalities, Conley Standard Errors and State $\times$ Year Fixed Effects

Dependent Variable:	Pro-Regime (1)	PRI % (2)	Satellite (3)	Opp. % (4)	PRD % (5)	PAN % (6)
Panel A: Conley cutoff = 100 km						
NAFTA Agricultural Index (std.) $\times$ Post	-1.665^{***}	-2.253^{***}	0.5875^{*}	1.068^{**}	0.4126	0.6552^{*}
	(0.5094)	(0.4382)	(0.3487)	(0.4981)	(0.4419)	(0.3756)
Panel B: Conley cutoff = 250 km						
NAFTA Agricultural Index (std.) $\times$ Post	-1.665^{***}	-2.253^{***}	0.5875^{***}	1.068^{***}	0.4126	0.6552^{**}
	(0.2946)	(0.5886)	(0.2170)	(0.2094)	(0.3674)	(0.3272)
Panel C: Conley cutoff = 500 km						
NAFTA Agricultural Index (std.) $\times$ Post	-1.665^{***}	-2.253^{***}	0.5875^{*}	1.068^{***}	0.4126	0.6552^{**}
	(0.5567)	(0.7293)	(0.3251)	(0.3962)	(0.2589)	(0.3233)
Climate & Altitude Controls	✓	✓	✓	✓	✓	✓
Municipality FE	✓	✓	✓	✓	✓	✓
State $\times$ Year FE	✓	✓	✓	✓	✓	✓
Observations	5,795	5,795	5,795	5,795	5,795	5,795
Municipalities	1,453	1,453	1,453	1,453	1,453	1,453
Elections	4	4	4	4	4	4

Each panel reports Conley spatial-HAC standard errors with the indicated distance cutoff; point estimates are identical across panels. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

G.5 Shift-Share Standard Errors

Table 39: Exposure-Robust Inference: Agricultural Results

Dependent Variable:	Pro-Regime	PRI %	Satellite	Opp. %	PRD %	PAN %
	(1)	(2)	(3)	(4)	(5)	(6)
NAFTA Agricultural Index (std.) × Post	-1.810^{***}	-2.213^{***}	0.4030	1.172^{***}	1.615^{***}	-0.4433
Clustered SE	(0.4604)	(0.5242)	(0.2849)	(0.3984)	(0.3271)	(0.3214)
AKM SE	[1.017]	[0.5158]	[0.7139]	[1.201]	[1.300]	[0.4856]
BHJ SE	{0.7090}	{0.3680}	{0.4768}	{0.8314}	{0.9326}	{0.2304}
AKM0 95% set	$(-\infty, \infty)$	$(-\infty, \infty)$	$(-\infty, \infty)$	$(-\infty, \infty)$	$(-\infty, \infty)$	$(-\infty, \infty)$
AKM0 p-value	0.332	0.270	0.620	0.456	0.394	0.466
Climate & Altitude Controls	✓	✓	✓	✓	✓	✓
Municipality FE	✓	✓	✓	✓	✓	✓
Election FE	✓	✓	✓	✓	✓	✓
Municipalities	1,453	1,453	1,453	1,453	1,453	1,453
Elections	4	4	4	4	4	4
Observations	5,795	5,795	5,795	5,795	5,795	5,795
Mean of dep. var.	63.13	60.18	2.95	29.83	17.09	12.75

Dependent variable: vote share in percentage points. All specifications include the controls described in Section 5.3. Clustered standard errors in parentheses; AKM (Adão et al., 2019) in brackets; BHJ (Borusyak et al., 2022) in braces; AKM0 = null-imposed 95 percent confidence set and p-value. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$ (clustered).

G.6 Timing of the Trade Shock

Table 40: Agricultural Analysis: Long Differences by Election (Trade Shifts Realized by Each Election)

Dependent Variable:	Pro-Regime (1)	PRI % (2)	Satellite (3)	Opp. % (4)	PRD % (5)	PAN % (6)
Treatment: NAFTA Agricultural Index built with the trade shift realized by each election						
NAFTA Agricultural Index (std.) × 1994	−1.963***	−2.233***	0.2697	1.685***	1.899***	−0.2137
	(0.4967)	(0.5341)	(0.2210)	(0.4522)	(0.3615)	(0.2966)
NAFTA Agricultural Index (std.) × 1997	−1.212***	−0.9691**	−0.2433	0.9461***	1.508***	−0.5615*
	(0.3972)	(0.4436)	(0.2410)	(0.3563)	(0.3261)	(0.3155)
NAFTA Agricultural Index (std.) × 2000	−1.540***	−2.026***	0.4860	0.9282*	0.8516**	0.07661
	(0.5278)	(0.5889)	(0.3348)	(0.4738)	(0.3886)	(0.4229)
Average	−1.572***	−1.743***	0.1708	1.186***	1.419***	−0.2329
	(0.3829)	(0.4405)	(0.2375)	(0.3379)	(0.2690)	(0.2662)
Climate & Altitude Controls	✓	✓	✓	✓	✓	✓
Municipalities	1,453	1,453	1,453	1,453	1,453	1,453
Observations	2,891 (1994); 2,899 (1997); 2,901 (2000)					

Each row reports a separate difference-in-differences model estimated on the 1991 election and the indicated post-NAFTA election, where the index is constructed with the change in bilateral trade between 1991 and that election year (std.). The average is the mean of the three coefficients, estimated jointly in a stacked regression. Standard errors clustered at the municipality level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

This table presents the estimates of two-way fixed effects models that use a time-varying exposure variable:

$$\text{NAFTA Agricultural Index}_{m,t} = \sum_{j} \frac{\text{Suitability}_{m,j}}{\text{Capacity}_{j}} \times \text{NX}_{j,t}$$

Where $\text{NX}_{j,t}$ is the value of Mexican net exports to the US of crop j in year t—i.e., the value of Mexico's exports of crop j to the US minus the value of its imports of crop j from the US.

Table 41: Agricultural Analysis: Time-Varying NAFTA Agricultural Index

Dependent Variable:	Pro-Regime	PRI %	Satellite	Opp. %	PRD %	PAN %
	(1)	(2)	(3)	(4)	(5)	(6)
NAFTA Agricultural Index, time-varying (std.)	-0.555^{**}	-0.599^{**}	0.044	0.286	0.561^{**}	-0.275
	(0.270)	(0.302)	(0.161)	(0.253)	(0.225)	(0.228)
Climate & Altitude Controls × Year	✓	✓	✓	✓	✓	✓
Municipality FE	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓
Municipalities			1,453			
Observations			5,795			

Two-way fixed effects models pooling the 1991, 1994, 1997, and 2000 elections. In each election year, the index combines each municipality's capacity-adjusted crop suitability with the value of each crop's net exports to the United States in that year; it is scaled by the standard deviation of the 1991–2000 NAFTA Agricultural Index. Standard errors clustered at the municipality level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

G.7 Economic Volatility Control

This table presents estimates from difference-in-differences models that allow municipalities to follow differential trends based on the price volatility of the crops they can grow. I estimate each crop's international price volatility using the monthly prices of the World Bank Commodity Price Data whenever available, and the monthly producer price indices of the US Bureau of Labor Statistics when unavailable. I measure a crop's volatility as the standard deviation of the monthly changes in its deseasonalized real price between 1970 and 1993.

I then build a municipality-level measure of exposure to price volatility, $\sum_j \frac{\text{Suitability}_{m,j}}{\text{Capacity}_j} \times \text{Volatility}_j$, and control for this variable interacted with year fixed effects. Table 42 displays the models' estimated coefficients.

Table 42: Agricultural Analysis: Controlling for Exposure to Crop Price Volatility

Dependent Variable:	Pro-Regime (1)	PRI % (2)	Satellite (3)	Opp. % (4)	PRD % (5)	PAN % (6)
NAFTA Agricultural Index (std.) × Post, controlling for:						
No additional control	−1.810***	−2.213***	0.403	1.172***	1.615***	−0.443
	(0.460)	(0.524)	(0.285)	(0.398)	(0.327)	(0.321)
Price volatility exposure × year	−2.003***	−2.317***	0.314	1.072**	2.012***	−0.940**
	(0.569)	(0.649)	(0.372)	(0.501)	(0.430)	(0.380)
Climate & Altitude Controls	✓	✓	✓	✓	✓	✓
Municipalities			1,453			
Observations			5,795			

Dependent variable: vote share in percentage points. All specifications include the controls described in Section 5.3. Standard errors clustered at the municipality level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

G.8 Migration, Inequality, and Crime

Table 43: NAFTA Exposure and Vote Shares: Rural Municipalities (Migration, Inequality, and Crime Controls)

Dependent Variable:	Pro-Regime (1)	PRI % (2)	Satellite (3)	Opp. % (4)	PRD % (5)	PAN % (6)
NAFTA Agricultural Index (std.) × Post, controlling for:						
No additional control	-1.810^{***}	-2.213^{***}	0.403	1.172^{***}	1.615^{***}	-0.443
	(0.460)	(0.524)	(0.285)	(0.398)	(0.327)	(0.321)
Δ immigrant share × Post	-1.785^{***}	-2.190^{***}	0.405	1.182^{***}	1.567^{***}	-0.384
	(0.463)	(0.527)	(0.288)	(0.400)	(0.327)	(0.323)
Δ income Gini × Post	-1.805^{***}	-2.207^{***}	0.401	1.167^{***}	1.591^{***}	-0.425
	(0.461)	(0.526)	(0.285)	(0.399)	(0.327)	(0.322)
Δ murder rate × Post	-1.809^{***}	-2.206^{***}	0.397	1.175^{***}	1.628^{***}	-0.453
	(0.462)	(0.526)	(0.286)	(0.400)	(0.326)	(0.319)
All three	-1.784^{***}	-2.183^{***}	0.399	1.183^{***}	1.556^{***}	-0.372
	(0.465)	(0.530)	(0.289)	(0.402)	(0.326)	(0.322)
Climate & Altitude Controls	✓	✓	✓	✓	✓	✓
Municipalities			1,442–1,453			

Each row adds the 1990–2000 change in the indicated municipal variable interacted with the post-NAFTA indicator (immigrant share and income Gini from the census microdata; murder rate from INEGI homicide records). Standard errors clustered at the municipality level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

H Full Regression Specifications

This appendix reports the full-coefficient versions of the cluster-level specifications.

Table 44: First Stage: NAFTA Exposure and Manufacturing Employment (Full Coefficients)

Dependent Variable:	Log Manufacturing Employment	
	(1)	(2)
NAFTA Index (std.) × Post	0.1532***	0.1353**
	(0.0502)	(0.0523)
Mfg. Empl. Share × Post	−4.7761***	−5.5718***
	(0.6072)	(0.7265)
Log Dist. to Border × Post	−0.1858***	−0.1894***
	(0.0384)	(0.0449)
Log Population × Post		−0.0528
		(0.0531)
Marginalization Index × Post		−0.1368*
		(0.0810)
Literacy × Post		−0.6841
		(0.9304)
Post-Primary Share × Post		−2.5993***
		(0.8789)
Urban Share × Post		−0.0992
		(0.3129)
Indigenous Share × Post		0.3266
		(0.2933)
Primary Sector Share × Post		4.1436
		(2.5349)
Secondary Sector Share × Post		6.4207**
		(2.5953)
Tertiary Sector Share × Post		5.0890*
		(2.6604)
Demographic & Economic Controls	×	✓
Cluster FE	✓	✓
Year FE	✓	✓
Clusters	201	201
Periods	2	2
Observations	402	402
R^2	0.975	0.979

Dependent variable: log(1 + manufacturing employment), in 1989 and 1999. Column (2) adds the controls described in Section 4.3. Standard errors clustered at the cluster level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

Table 45: Effect of NAFTA Exposure on Vote Share — Basic Specification (Full Coefficients)

Dependent Variable:	Pro-Regime Total	PRI	Satellite Parties	Total Opposition	PAN (Right)	PRD (Left)
	(1)	(2)	(3)	(4)	(5)	(6)
NAFTA Index (std.) × Post	−2.592**	−0.1301	−2.462**	2.200**	−0.03692	2.237**
	(1.207)	(1.073)	(1.124)	(1.099)	(1.208)	(1.069)
Mfg. Empl. Share × Post	60.02***	36.42***	23.60**	−48.35***	5.649	−54.00***
	(14.25)	(12.56)	(10.11)	(13.28)	(14.13)	(16.18)
Log Dist. to Border × Post	−3.107***	−2.737***	−0.3700	3.051***	−0.8196	3.871***
	(0.9003)	(0.8793)	(0.8819)	(0.8382)	(0.6741)	(0.9236)
Cluster FE	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓
Clusters	201	201	201	201	201	201
Elections	8	8	8	8	8	8
Observations	1,606	1,606	1,606	1,606	1,606	1,606
Mean of dep. var.	67.41	61.05	6.36	26.84	17.03	9.82

Basic specification: treatment plus the two design controls described in Section 4.3. Standard errors clustered at the cluster level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

Table 46: Effect of NAFTA Exposure on Vote Share — Full Specification (Full Coefficients)

Dependent Variable:	Pro-Regime Total	PRI	Satellite Parties	Total Opposition	PAN (Right)	PRD (Left)
	(1)	(2)	(3)	(4)	(5)	(6)
NAFTA Index (std.) × Post	−2.787***	−0.1788	−2.608**	2.379**	0.3695	2.010**
	(1.063)	(1.005)	(1.114)	(1.016)	(1.087)	(0.9364)
Mfg. Empl. Share × Post	50.68***	14.03	36.65***	−49.21***	0.7370	−49.95***
	(16.70)	(14.52)	(11.85)	(15.78)	(16.46)	(18.54)
Log Population × Post	4.631***	2.982***	1.649	−4.288***	−1.350	−2.938**
	(1.296)	(0.9820)	(1.064)	(1.343)	(1.059)	(1.433)
Log Dist. to Border × Post	−3.382***	−3.044***	−0.3384	3.331***	−0.3648	3.696***
	(1.004)	(0.8702)	(0.9779)	(0.9200)	(0.6712)	(1.012)
Marginalization Index × Post	−2.844*	−2.347	−0.4972	1.256	0.3963	0.8602
	(1.543)	(1.423)	(1.040)	(1.433)	(1.550)	(1.605)
Literacy × Post	14.04	−4.273	18.31*	−24.56*	21.74*	−46.30***
	(11.94)	(11.74)	(10.57)	(12.62)	(12.06)	(13.30)
Post-Primary Share × Post	−39.52**	−20.22	−19.30	19.84	−64.12***	83.96***
	(19.56)	(18.91)	(14.65)	(18.07)	(18.81)	(20.87)
Urban Share × Post	−8.682*	−2.264	−6.418	14.80***	4.888	9.914
	(5.219)	(5.133)	(3.918)	(4.637)	(5.323)	(6.558)
Indigenous Share × Post	12.16**	8.252	3.909	−18.00***	−2.374	−15.62***
	(4.784)	(6.092)	(5.075)	(4.155)	(4.762)	(5.399)
Primary Sector Share × Post	41.36	−11.70	53.06	−72.51	149.4***	−221.9***
	(52.73)	(55.85)	(44.17)	(50.82)	(51.83)	(58.69)
Secondary Sector Share × Post	49.64	−0.05343	49.69	−77.81	162.3***	−240.2***
	(53.78)	(56.48)	(43.52)	(52.02)	(52.78)	(59.38)
Tertiary Sector Share × Post	58.28	4.866	53.42	−85.84	173.1***	−258.9***
	(56.62)	(57.74)	(46.43)	(54.49)	(53.72)	(64.13)
Cluster FE	✓	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓	✓
Clusters	201	201	201	201	201	201
Elections	8	8	8	8	8	8
Observations	1,606	1,606	1,606	1,606	1,606	1,606
Mean of dep. var.	67.41	61.05	6.36	26.84	17.03	9.82
R^2	0.900	0.832	0.621	0.899	0.831	0.784

Full specification: treatment plus the full set of controls described in Section 4.3. Standard errors clustered at the cluster level in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.